# The Economic Determinants of Taiwanese Sentiments towards Reunification with Mainland China*

# (Preliminary)

Yu-Chi Hsieh† Nancy Qian‡ Marco Tabellini§and Yifan Zhang¶

October 21, 2026

**Abstract**

We study how economic growth affects support for autocratic regimes. We examine this question in Taiwan, where reunification with mainland China would entail political and economic integration under an autocratic system. Using individual survey data and voting records from 1995 to 2024, we find that mainland economic growth increases support for reunification among more educated Taiwanese, while increasing support for independence among less educated Taiwanese. Consistent with economic incentives underlying these divergent responses, mainland growth raises income and cross-strait economic engagement among more educated Taiwanese, while reducing income among the less educated. We complement the observational analysis with an online survey experiment that independently varies information about mainland economic performance and military activity, and elicits beliefs about the consequences of reunification and independence. Positive information about mainland growth raises support for reunification more among more educated respondents. By contrast, information about military activity does not affect respondents' preferences for reunification. Our findings show that economic opportunities can increase democratic citizens' willingness to accept autocratic rule, and that

*We are grateful to Leonardo Bursztyn, Gerard Padro-i-Miquel, Guido Tabellini and members of TECO Chicago for their insights, and the participants of the Tor Vergata Applied Seminar, the LUISS applied seminar, National Taiwan University, the BFI Social Economics Conference, IOG-BFI Conference, the 8th International Conference on The Political Economy of Democracy and Dictatorship at the University of Münster, and Stanford SITE for many helpful suggestions. We thank Wanran Zhao for excellent research assistance. All mistakes are our own.

†yuchi.hsieh@kellogg.northwestern.edu

‡nancy.qian@kellogg.northwestern.edu

§mtabellini@hbs.edu

¶yifan.zhang2@kellogg.northwestern.edu

this response depends on who benefits from growth.

**Keywords:** Autocracy, Democratization, Economic Growth

# 1 Introduction

The relationship between economic growth and democratization is central to political economy. One view, based on the historical experiences of the West, is that growth leads to more democracy. This idea is famously articulated by *modernization theory* (Lipset, 1959). Modernization theory argues that growth increases education (Glaeser et al. (2004)) and that, in turn, educated citizens are more likely to support democracy, because education encourages autonomy, tolerance, political participation, and demand for accountable government (Glaeser et al. (2007); Larreguy and Marshall (2017)). However, in recent contexts such as China, Vietnam, and Saudi Arabia, sustained income growth and the emergence of a large educated middle class have occurred without corresponding strides toward democratization. The experience of these countries is consistent with a broader literature questioning whether economic development by itself causes democratization. Przeworski et al. (2000) argues that development does not reliably cause democracy to emerge, although it can help sustain democracy once established. Acemoglu et al. (2008) similarly finds little evidence in panel data that increases in income lead to democratization. Growth may even strengthen autocratic rule. Guriev and Treisman (2019) argues that economic success can make autocratic governments appear more competent and their propaganda more credible, at least in the short and medium run. Moreover, the political effects of growth may differ across citizens. When the gains from growth accrue disproportionately to the educated, the same citizens whom modernization theory views as the strongest constituency for democracy may instead have greater economic incentives to tolerate autocratic rule (Chen (2013)).Whether growth weakens or strengthens support for autocracy, and how this response varies with education, are therefore empirical questions.

We study whether economic growth strengthens support for autocratic rule, and whether this response differs by education. To our knowledge, we provide the first systematic empirical evidence on this question. Studying these questions directly is difficult because citizens' political preferences are hard to observe under autocracy. Elections are not free, and survey respondents may fear revealing their true views. As a result, the standard measures of political preferences, such as voting behavior and survey responses, are often unavailable or unreliable.

We address this difficulty by taking advantage of the unique history and institutional arrangement of mainland China and Taiwan. Mainland China has been openly autocratic and rejected Western-style democracy since 1949. In contrast, Taiwan is *de facto* politically and economically autonomous from the

mainland and has been a liberal democracy since the early 1990s. Information about the economy and politics of the mainland are well known in Taiwan. Whether Taiwan should reunify with the mainland, maintain the status quo autonomy, or become officially independent has long been a key issue for its electorate. Since reunification means full political and economic integration under the Beijing-run system, we can assume that support for reunification implies that an individual is willing to accept Beijing's autocratic system in place of Taipei's democratic one. Thus, we can test our hypothesis by studying the relationship between mainland Chinese economic growth and Taiwanese support for reunification.

Our paper proceeds in two steps. First, we analyze observational data on individual preferences and voting behavior. We begin with the Taiwan Social Change Survey, which measures individual support for reunification from 1995 to 2022. We estimate heterogeneous effects by interacting mainland economic growth with individual education, controlling for individual characteristics, township fixed effects, and linear and quadratic time trends. We then turn to voting behavior. Cross-strait relations are the central political cleavage between Taiwan's two major parties. The Kuomintang (KMT) has historically supported the "One China" principle. While this position once envisioned eventual reunification under KMT rule, as that prospect receded the party increasingly came to favor maintaining the status quo. In contrast, the Democratic Progressive Party (DPP), a Taiwanese nationalist party, has advocated greater separation from mainland China and official independence. We construct a township-level panel covering all presidential and legislative elections between 1995 and 2024. We examine how KMT and DPP vote shares respond to mainland economic growth and whether these responses vary with average township education measured in 1990.[1]

We find a clear education gradient in voting responses to mainland growth. In more educated townships, higher mainland growth is associated with larger KMT vote shares and smaller DPP vote shares, while the opposite holds in less educated townships. Increasing mainland growth from 5% to 10% raises the KMT vote share by 0.81 percentage points and lowers the DPP vote share by 0.44 percentage points in a township at the 75th percentile of education relative to one at the 25th percentile. These effects correspond to 1.9% and 1.0% of the respective means. In presidential elections, the corresponding effects are an increase of 1.26 percentage points, or 3.0% of the mean, in the KMT vote share and a decrease of 0.70 percentage points, or 1.6% of the mean, in the DPP vote share.

[1]Voting data are only available at the township and election year level. Townships are the smallest administrative unit in Taiwan. There are 346 townships.

The voting results do not reveal whether shifts toward the KMT reflect greater support for reunification or for the status quo, since both positions fall within the KMT platform. We distinguish between these preferences using individual-level survey data from the Taiwan Social Change Survey (TSCS), a nationally representative repeated cross section spanning 1995 to 2022. The survey provides detailed information on political preferences (e.g., support for reunification), education, income, and other individual characteristics. The first outcome we examine is support for reunification. On average, 12.2% of survey respondents support reunification, while 54% support the status quo and 23.5% support official independence.[2]

We find that mainland growth reduces support for reunification among less educated individuals and increases it among the more educated. An increase in mainland growth from 5% to 10% lowers support for reunification by 4.3 percentage points at the bottom of the schooling distribution, equivalent to 35% of the sample mean. For individuals with a master's degree, the same increase raises support for reunification by 1.9 percentage points, or 15% of the mean. The effect changes sign at about 12.6 years of schooling, close to the threshold between less than high school and high school completion. The same increase in mainland growth raises support for independence by 2.6 percentage points among the least educated and lowers it by 4.1 percentage points among the most educated.

The main empirical concern for the interpretation of our estimates is omitted variables. For example, mainland economic growth can be correlated with growth in Taiwan or its other major trading partners – the U.S. and Japan. In this case, our estimates would be spurious. To address this potential issue, we additionally control for the economic growth of Taiwan, the U.S. and Japan, each interacted with education. The estimates for mainland growth and its interaction with education are robust to the additional controls. Moreover, the growth of Taiwan and its other large trading partners have different effects on reunification, which supports our interpretation that our main results reflect Taiwanese voters' sentiments about the mainland and are not spurious. We also demonstrate that results are robust to a large number of additional concerns, and alternative standard error estimations.

One interpretation of our results is that mainland growth creates larger economic gains for more educated Taiwanese while imposing costs on the less educated. These differential returns could, in turn, explain the heterogeneous effects of mainland growth on support for reunification. More educated Taiwanese may become more supportive of reunification because they benefit economically from a stronger

[2] 10.3% support an unspecified residual category "other".

mainland economy, while less educated Taiwanese may move in the opposite direction because they face greater economic competition. To test this hypothesis, we exploit the granularity of the TSCS data. We first examine heterogeneous effects of mainland growth on individual income. In our study period, Taiwan (2024 per capita GDP $34,059) is on average more economically developed and technologically advanced than mainland China (2024 per capita GDP $13,306). More educated Taiwanese can benefit from trade, investment, and other economic opportunities linked to mainland growth, while less educated workers may face greater competition from lower-skilled mainland labor.[3] Consistent with this idea, we find that mainland growth is negatively associated with income among less educated Taiwanese and positively associated with income among the more educated. This pattern mirrors the heterogeneous response of support for reunification to mainland growth.

We next examine direct economic engagement with the mainland. More educated Taiwanese can benefit from mainland growth without leaving Taiwan, but they may also travel to, live in, or work in the mainland to take advantage of economic opportunities. We find that mainland growth is positively associated with the probability that more educated Taiwanese have visited or lived in the mainland in recent years. The corresponding association for less educated Taiwanese is negative, although imprecisely estimated. Finally, we examine which issues respondents identify as most important for Taiwan. When mainland growth is higher, more educated Taiwanese are more likely to identify economic issues as the country's primary concern, while less educated Taiwanese are more likely to emphasize geopolitical issues. These patterns provide additional evidence consistent with economic incentives contributing to the education gradient in support for reunification.

The larger economic gains from mainland growth, together with more frequent travel and stronger economic ties to the mainland, may also increase attachment to China and shape national identity. Consistent with this interpretation, we find that mainland growth increases identification as both Taiwanese and Chinese and reduces exclusive Taiwanese identification among more educated respondents, paralleling the education gradient in support for reunification. At the same time, changes in identity alone cannot account for the full pattern: among less educated respondents, mainland growth also shifts identification toward China even as it reduces support for reunification.

We also examine two alternative explanations. The first is political indoctrination through schooling.

[3]For example, to protect the benefits of framers, Taiwan ban lots of agricultural imports from mainland China. See report from Ministry of Agriculture, Taiwan.

Taiwanese school curricula promoted a One China ideology until reforms in the late 1980s. If this exposure drove the education gradient, the response to mainland growth should differ across cohorts educated before and after the reforms. We find little evidence of such a difference. The second is coercion. More educated Taiwanese may interpret mainland growth as increasing China's capacity or willingness to force reunification, or as changing the likelihood of foreign support in a conflict. The observational data cannot directly distinguish this channel. The experimental evidence discussed next, however, provides little support for the view that perceived military threat explains the education gradient in support for reunification. XX nq: i don't think this is rigth. if we were concerned that edu is confounded with perceived threat, we woudl CONTROL for perceived threat in the experiment. the triple interaction is interesting, but somethgin differentXX

We complement the observational evidence with an online survey experiment that provides exogenous variation in information about mainland economic performance and military threat. The experiment was fielded between February and August 2026. We recruited 1,632 Taiwanese residents aged 20 or older through Facebook advertisements. Respondents were randomly assigned to read news about strong mainland growth, weak mainland growth, or placebo content. We independently cross-randomized exposure to news about mainland military activity near Taiwan. After the prompts, respondents reported their preferred cross-strait relationship on a continuous scale from independence to reunification, their expectations about future income, and a rich set of beliefs about the economic, political, and security consequences of reunification and independence.

The experimental sample is younger and more educated than the Taiwanese population. Respondents have 15.6 years of schooling on average, compared with 12.3 years in the TSCS. The experiment therefore speaks primarily to heterogeneity within a relatively educated population rather than to the contrast between the least and most educated Taiwanese that is particularly pronounced in the observational data. Respondents also recognize that both reunification and independence may carry substantial costs. In the control group, 78% expect the right to criticize the government to decline under reunification, and 72% expect less freedom of assembly. Most expect elections to disappear within a decade, with national elections ending sooner than local elections. The median respondent expects presidential elections to continue for only three years, and 35% expect them to end immediately. Respondents also anticipate substantial risks from independence. Most expect sanctions and military harassment, 68% expect a full-scale invasion, and only 44% expect direct military intervention by the United States and its allies. Thus,

support for reunification does not appear to reflect a belief that Taiwan's existing political institutions would be preserved.

The experiment reproduces the central pattern in the observational data. Positive news about mainland growth increases support for reunification more among more educated respondents. Each additional year of schooling increases the response to positive growth news by 0.042 points. A four-year difference in schooling, equivalent to the gap between the 10th and 90th percentiles of the education distribution in the experimental sample, implies a difference in the treatment response of about 0.43 standard deviations of the preference measure. In contrast, negative news about mainland growth produces no systematic education gradient. The education gradients generated by positive and negative growth news are statistically different from one another. Exposure to military news does not significantly amplify or attenuate the education gradient in the response to economic news.

The experiment also allows us to examine which beliefs respond to economic information, although stated beliefs provide an imperfect measure of the underlying mechanisms. The clearest response to positive growth news among more educated respondents concerns political institutions. As noted above, respondents are generally pessimistic about the survival of democratic institutions under reunification. Positive growth news makes more educated respondents less pessimistic: relative to less educated respondents, they expect direct elections to persist longer under reunification at every level of government above the village.

In contrast, stated expectations about personal income do not respond systematically. We interpret this null cautiously. Previous work shows that stated income expectations exhibit systematic biases and respond weakly even to substantial macroeconomic information (Roth and Wohlfart (2020); Hajdini et al. (2023); Rozsypal and Schlafmann (2023)), whereas our observational results capture realized income over three decades of mainland growth. The experimental evidence therefore does not provide a stated-expectations counterpart to the realized income effects in the observational data. At the same time, it shows that positive information about mainland growth changes educated respondents' expectations about the political consequences of reunification.

This paper provides, to our knowledge, the first systematic evidence that individuals in a stable liberal democracy become more tolerant of autocratic rule when it offers compelling economic opportunities, and that positive information about economic performance can make those who benefit most less pessimistic about the survival of democratic institutions under that rule. In doing so, we complement the large

literature discussed earlier that, dating back to Lipset (1959), has examined the relationship between economic growth and democratization (Glaeser et al. (2004); Glaeser et al. (2007); Larreguy and Marshall (2017); Przeworski et al. (2000); Acemoglu et al. (2008)). While this literature has largely studied changes in political institutions or regime survival across countries and over time, we provide individual-level evidence on the political preferences underlying these aggregate relationships.

Our paper also relates to a growing empirical literature that studies how autocratic regimes use economic policies to maintain political stability. Recent work shows that economic tools are central to authoritarian control. Wen (2025) documents that state-owned enterprises expand employment in response to unrest threats, using labor markets as a tool of pacification. Campante et al. (2023) shows that adverse economic shocks increase labor unrest and induce political responses by local officials aimed at maintaining stability. Mueller (2025) provides evidence that China's foreign aid allocation is shaped by domestic political objectives, including the need to manage social instability. We connect these insights to individual political preferences. We show that economic growth in an autocratic regime can directly increase support for that regime among individuals in a democracy, and that this response depends on the distribution of economic gains and perceived geopolitical risks. In contrast to existing work that focuses on how governments use economic tools to maintain control, we study how citizens respond to these tools and how economic incentives and coercion jointly shape political attitudes.

We also add to the closely connected literatures on democratization and autocratic regimes. There is a large literature on the relationship between democracy and economic growth.[4] We are most closely related to studies about the economic resources give autocrats more instruments with which to survive. These studies are mostly theoretical. They emphasize that rulers can remain in power through a mix of repression, patronage, selective redistribution, and institutional concessions to pivotal groups (Acemoglu et al., 2004; Gandhi and Przeworski, 2006). In this view, broad economic growth of the type that we study can help stabilize autocracy by expanding the rents available for co-optation, strengthening state capacity, and reducing incentives for rebellion, but it is generally treated as one tool among several rather than as a direct cause of public acceptance of authoritarian rule (Acemoglu and Robinson, 2001; Egorov and Sonin, 2024). These studies tend to frame economic success as a resource that dictators can convert into

[4]Existing studies in economics find that economic crises drive democratization because the state is forced to extend the franchise to obtain the support of the population (e.g., Acemoglu and Robinson, 2000), and growth is on average higher in democracies (e.g., Acemoglu et al., 2019; Papaioannou and Siourounis, 2008). Recent studies such as Besley and Persson (2019) and Persson and Tabellini (2009) have also provided theoretical treatments of the long-run dynamic relationship between democracy and growth.

coalition maintenance and control; and not as the direct reason that ordinary citizens become reconciled to the absence of democratic rights. In this sense, we are more closely related to studies in political science. For example, recent works have argued that China's economic success has contributed to regime legitimacy, public support, and acceptance of authoritarian rule (Wright, 2010; Dickson, 2016). We also add to a new but rapidly growing body of work on geo-economics (Clayton et al., 2023). Existing studies mostly focus on how states leverage financial and trade for geopolitical power (Liu and Yang, 2025).

In studying the China-Taiwan context, we complement Beraja et al. (2023a) and Beraja et al. (2023b), which provides evidence that the state uses surveillance to bolster its political power. Our findings show that the attraction of economic opportunities also contributed to Beijing's power. In this sense, we are related to studies about soft power, the notion that governments can shape political preferences through appeal and attraction (rather than coercion and threats). Recent studies provide evidence on soft power in the context of Hollywood movies being shown in contemporary China (Fan et al., 2022) and in post-WWII Italy (Cannella and Magnaricotte, 2025), and the diffusion of democratic norms with trade flows (Tabellini and Magistretti, 2024).[5]

This paper is organized as follows. Section 2 discusses the background. Section 3 develops the conceptual framework. Section 4 describes the data. Section 5 presents the empirical results and explores the mechanisms. Section 6 introduces the online survey experiment. Section 7 offers concluding remarks.

# 2 Background

## 2.1 Taiwanese Politics and Economics

After the KMT lost a bitterly fought Civil War against the Chinese Communist Party (CCP), 1945-1949, it was exiled to Taiwan. From there, the Republic of China (ROC), was internationally recognized as the legitimate Chinese government for most of the Cold War. The KMT imposed martial law and repressed all political opposition in Taiwan until 1987.

Both international and domestic politics began to change in the 1970s. On the international front, in 1971, the United Nations recognized mainland China, the People's Republic of China (PRC), as the official China. Today, there is officially "One China" with two autonomous political and economic entities

[5]There are many qualitative studies about soft power in political science. See, for example, (Nye, 2004) and the references within.

on the two sides of the strait. The governments on both sides of the strait advocate for "One China" with their own party in charge. Other countries, such as the United States, support this nuanced arrangement with a policy of "strategic ambiguity".

Domestically, Taiwan underwent a major political change after the death of its founding dictator, the Generalissimo Chang Kai Chek. His son and political successor, Chiang Ching-kuo, allowed Taiwan to gradually liberalize and appointed Taiwan-born Lee Teng-hui as the next president of Taiwan. Lee held Taiwan's first democratic and direct election for the unicameral legislature, the Legislative Yuan, in 1992. In 1996, Taiwan held its first democratic presidential election and Lee Teng-hui was re-elected to office. Taiwan elected its first (non-KMT) DPP president, Chen Shui-bian, to office in 2000.

The school curricula of Taiwan liberalized in the late 1980s. In 1949, the KMT banned local dialects and the teaching of local histories at school and forced all children to learn Mandarin and study a common Chinese history focused on the mainland. Starting in the late 1980s, the curricula liberalized to allow more prominence to Taiwanese local culture and history, though Mandarin is still the national language for education and official business. The curricula was gradually and intentionally adapted to emphasize democracy and civil values.[6].

*The* main political issue for Taiwan is the cross-strait relationship. Part of the concern is political. Mainland China is an autocracy while Taiwan is a liberal democracy. Another part of the concern is economic. Mainland China is the largest trade partner of Taiwan for decades. Reunification implies both political and economic integration.

Throughout our study period, Taiwan has been wealthier and more technologically advanced than mainland China. In 1990, Taiwan's per capita GDP was approximately $8,170. In 2000 and 2020, it was around $14,840 and $28,734. In 1990, mainland China's per capita income was approximately $347.50. In 2000 and 2020, it was approximately $962.8 and $10,695. All these values are reported in current USD.

Mainland Chinese income, which started at a much lower level than Taiwanese income, grew at much higher rates. During this time, Taiwan was an important source of high-skilled talent. Taiwanese expertise and investments were important for the development of many sectors in the mainland, such as manufacturing, services (e.g., restaurants, hotels) and more recently, high-tech. China also became an important market for Taiwanese products and services and a source of raw materials for Taiwan. Today, the mainland (which includes Hong Kong after 1997) is Taiwan's largest trading partner for imports and

[6]For detailed discussions of these curricula changes, see for example, Chen et al. (2023) and Hong and Lyu (2025).

exports.

The conventional wisdom is that economic opportunities that came from mainland growth disproportionally benefitted Taiwanese who were highly educated, skilled or had financial means. These were the individuals who were able to take advantage of the mainland's needs for talent and investment. Taiwanese with less education and fewer resources were, if anything, threatened by the mainland's economic development. The large number of workers who moved out of rural areas and farms into low-skilled factories or services in urban areas as the mainland grew meant that the number of workers who could compete with low-skilled Taiwanese workers were increasing.

That this concern has been salient can be seen in the many discussions and policies in Taiwan. For example, Taiwan restricts the import of agricultural products from the mainland to protect Taiwan's higher-cost agricultural sector. Similarly, migration from the mainland to Taiwan is limited. This is explicitly motivated by the concern that a large influx of unskilled workers from the mainland would reduce wages for unskilled Taiwanese.

It is generally very difficult to become a citizen of the Taiwan. Usually, the only pathway is via marriages with a Taiwanese citizen and waiting for six years or more, and there are very few political asylum cases.[7] Strict migration controls means that the Taiwanese electorate is not directly influenced by the new voters who immigrate from the mainland (or anywhere else).

### 2.2 Taiwanese Awareness of Mainland Growth and Politics

The economics conditions and political system of mainland China are widely known in Taiwan. The geographic, cultural and linguistic proximity between Taiwan and the mainland means that there are few barriers to information in our study period. Taiwan has 23.4 million residents. As shown in Figure 1, the island is only 126 km away from the mainland and the shores are often visible across the strait. All those living in Taiwan and the mainland today are native speakers of Mandarin Chinese (the official dialect), which has been the only language taught in schools since 1945 on both sides of the strait.[8]

Mainland economic growth is a popular topic in Taiwanese media outlets. Major outlets usually report Chinese quarterly growth rates the same day or one day after they are released in Beijing, which is usually

[7] According to National Immigration Agency in Taiwan, 252,235 mainland Chinese immigrated to Taiwan through marriage during 1987-2023. Less than half of them attain citizenship in Taiwan.

[8] The writing system differs slightly. Taiwan (and Hong Kong) uses traditional characters and teaches phonetics with the Wage-Giles system. Mainland China uses simplified characters and teaches phones with the pinyin system. Traditional and simplified characters are mostly mutually understandable.

followed by extensive discussions and analyses by pundits and economists. Taiwanese can also access some radio broadcasts, and in more recent years, internet and social media, directly from the mainland.

That mainland China has an autocratic political system is also broadly understood in Taiwan (as it is in the rest of the world). The CCP, which governs the mainland from Beijing, has always been open about its autocratic system and its rejection of Western notions of democratization. Similarly, Beijing has always been clear that reunification means that Taiwan will come under the control of the CCP. Thus, our study assumes that being aware of this, when Taiwanese support reunification, they understand that it means living in an autocratic regime instead of a democratic one.

# 3 Conceptual Framework

## 3.1 Taiwanese Sentiments on Reunification

This section provides a verbal discussion of how mainland growth affects Taiwanese sentiments on reunification, which implies full economic and political integration, and why it can differ for educated and uneducated Taiwanese.

First, we consider the economic channels. Reunification would eliminate restrictions on the migration of labor and capital, expand access to Chinese consumer and labor markets. The integration of Taiwan with the large, lower-wage mainland economy will increase relative demand for Taiwanese high-skilled labor, as comparative advantage shifts toward skill-intensive exports (Dornbusch et al., 1977; Eaton and Kortum, 2002). This channel is particularly relevant for Taiwan, where educated workers are concentrated in export-oriented sectors that already rely heavily on cross-strait supply chains. Removing capital controls would also make it easier for Taiwanese to invest their capital in the mainland. In short, lowering institutional and regulatory barriers to migration would allow Taiwanese professionals to access high-paying labor markets in the mainland's largest cities. It would allow Taiwanese firms to access lower-cost mainland supply chains. Mainland migrants to Taiwan would significantly reduce the cost of low-skilled services in Taiwan.

In contrast, integration can hurt businesses and workers in sectors that are relatively less productive than their mainland counterparts (e.g., low skilled labor and labor-intensive sectors). When the mainland was one of the poorest nations in the world, even workers who were relatively unskilled in Taiwan had skills that most mainland workers did not. However, as the mainland developed and production in sectors such

as manufacturing and agriculture started using similar production technologies as Taiwan, low skilled mainland workers became more similar to low-skilled Taiwanese workers. Thus, economic integration would increase labor market competition and reduce wages for low-skilled Taiwanese workers. Given that the mainland started at such a low level of development relative to Taiwan, mainland growth increases this competition.

Second, we consider non-economic channels. Being part of a larger and rapidly growing economy may increase economic and geopolitical prestige, which can be valuable to some Taiwanese. In models of identity formation such as Shayo (2009), individuals choose to identify with groups that offer higher perceived status. As mainland China grows, its global standing and domestic economic strength increase, potentially making Chinese national identity more attractive to Taiwanese citizens. In this framework, identification with China is not fixed, but endogenously responds to changes in the relative prestige of the group.

The main non-economic cost of reunification for the Taiwanese is the loss of having a say in policies. Part of the loss is a result of the relative sizes of Taiwan and the mainland. The Taiwanese population is a small fraction of the mainland population and would have relative little say in policy even if the mainland is a democracy. The fact that the mainland is not democratic makes the loss of influence in policy much more severe. Moreover, the Taiwanese will have to accept mainland restrictions such as the limited freedoms of media and religion, and other civil liberties that the Taiwanese have been accustomed to since the 1980s and 90s. The perceived loss of political influence can increase with mainland growth if a richer mainland government is more autocratic.[9] It is unclear whether either the positive prestige effect or the negative political effect varies by education.

Ultimately, the level of an individual's support for reunification is determined by the net economic, social, and political value of reunification. Whether the positive effects of mainland growth on support for reunification outweigh the negative ones is ex ante ambiguous for all Taiwanese citizens. However, because mainland growth generates higher returns for educated Taiwanese, growth should generate relatively more support for reunification amongst the educated. The empirical analysis in the next section will estimate the net effect of mainland growth in support for reunification with the mainland for educated and uneducated Taiwanese.

[9]For example, economic growth can increase government revenues and allow the state to centralize and invest in more direct control (Martinez-Bravo et al., 2022) or state surveillance (Beraja et al., 2023a).

### 3.2 Heterogeneous Treatment Effects

The empirical analysis investigates how mainland economic growth affects Taiwanese support for reunification with the mainland, and whether this differs for individuals with various education attainment that have different economic benefits from the mainland. The parsimonious baseline equation can be written as the following.

$$y_{ijt} = \alpha + \beta growth_t \times edu_i + \gamma growth_t + \phi edu_i + X_i + urban_{jt} + \delta_j + \theta_t + \varepsilon_{ijt}, \quad (1)$$

where outcome $y$ of individual $i$ living in township $j$ in year $t$ is a function of: the interaction of mainland GDP growth rate per capita, $growth_t$, and the years of education attainment of $i$ , $edu_i$; the uninteracted mainland per capita growth rate, individual controls, $X_i$, urban dummy, $urban_{jt}$, township fixed effects, $\delta_j$ and linear and quadratic time trends, $\theta_t$. The individual controls, $X_i$, includes age, age squared, sex, and marital status. We cluster standard errors at the township level – the smallest administrative unit in Taiwan.[10] We will later show that the results are robust to alternative methods of estimating the errors.

We are interested in $\beta$ and $\gamma$. $\beta$ captures the differential effect for an individual with one additional year of educational attainment. $\gamma$ captures the relationship between mainland growth and support for reunification or other outcomes for an uneducated individual.

We control for a time trend and its quadratic in place of year fixed effects to account for macro changes over time (e.g., political liberalization in Taiwan) because we are interested in the uninteracted effect of mainland economic growth, $\gamma$,and $growth_t$ is collinear with the fixed effects. Later, we will show that the interaction effects are robust to controlling for year fixed effects instead of the time trends. The township fixed effects control for time invariant differences across locations, such as urbanization and other geographic or slow-changing demographic and economic characteristics. The individual controls account for the fact that educational attainment is correlated with other characteristics that can influence political sentiment towards reunification. Later in the robust section, we will show that the results are robust to controlling for the interaction of these variables with mainland growth.

The main concern for causal interpretation is omitted variable bias. Specifically, there might be omitted variables that vary with mainland growth and individual levels of education, beyond the baseline controls, that influence sentiment towards reunification. We discuss this further and provide evidence to

[10]There are 346 townships in total.

ameliorate this concern after we present the main results.

# 4 Data

## 4.1 Taiwanese Social Change Survey

Our main data source is the *Taiwanese Social Change Survey* (TSCS) for the years 1995 to 2022. The surveys are jointly collected by Academia Sinica and the Institute of Sociology and the Center for Survey Research in Taiwan. They consist of nationally representative, in-person interviews with a repeated cross-section of individuals. Each annual wave samples around 0.1‰ of the population. A random subsample in each wave is asked about support for reunification. We restrict the main analysis to these respondents. The baseline sample includes 22,107 individuals surveyed in 1995, 1998, 2000, 2003-5, 2010, 2012-14, 2016, and 2020 across 220 townships.[11] Figure 2 shows administrative boundaries in Panel A and average educational attainment in 1990 in Panel B. Grey lines indicate township boundaries and black lines indicate county boundaries. We use the TSCS survey weights in all regressions and descriptive statistics based on these data.

The TSCS reports attitudes towards reunification with the mainland, education, income, ancestry, and whether respondents have visited or worked on the mainland. We describe these variables and those from other sources when they become relevant to the analysis.

## 4.2 Election Data

We use township-level election data from the Central Election Commission to complement the survey responses with voting outcomes. The data report vote shares and turnout for all eight direct presidential elections, held every four years from 1996 to 2024, and all nine direct elections for the Legislative Yuan (Taiwan's unicameral legislature) from 1995 to 2024. Presidential and legislative elections were held on separate dates before 2012 and on the same day thereafter.[12] Although voting requires individuals to

[11] There are 346 townships in Taiwan in total. The townships we do not observe are mostly sparsely populated and in the mountains.

[12] As noted above, there are 346 townships in our sample, which are administrative subdivisions of 21 "counties." In 1990, Taiwan comprised 23 first-level administrative divisions. We exclude two counties, Kinmen and Lienchiang, for three main reasons: (1) they are extremely close to mainland China (the shortest distance is just 2 km); (2) unlike other counties, they were not colonized by Japan; and (3) the TSCS and TEDS surveys do not cover them. The remaining units include two special municipalities (Taipei and Kaohsiung), fourteen counties (Taipei, Taoyuan, Kaohsiung, Hsinchu, Miaoli, Changhua, Nantou, Yunlin, Chiayi, Pingtung, Yilan, Hualien, Taitung, and Penghu), and five provincial cities (Taichung, Tainan, Keelung, Hsinchu, and Chiayi).

be present in Taiwan on election day, average turnout exceeds 70%, higher than in U.S. presidential elections. The high participation rate makes these data informative about political preferences in the broader population.

Voting outcomes are observed at the township-by-year level. We therefore match them to average years of education in each township in 1990. Panel B of Figure 2 shows the geographic variation in this measure.

### 4.3 Taiwan Election and Democratization Study

For the analysis of mechanisms, we use the Taiwan Election and Democratization Study (TEDS), a nationally representative survey. The surveys from 2001 to 2020 contain detailed information on respondents' own and their families' engagement with mainland China.[13] TEDS asks "how many trips an individual has made to the mainland (excluding Hong Kong and Macau) in the past three/five years" and whether "an individual or a family member has made investments, conducted business or held employment in mainland China". We define an indicator equal to one if the respondent has made at least one trip or answers "yes" to the second question.

TEDS also asks respondents an open-ended question about Taiwan's primary challenge. Surveyors record their answers. We code an answer as "economic" if it contains any of the words "Economy", "Finance", "Investment", "Industry", and "Entrepreneur". We code it as "geopolitical" if it contains any of the words "Chinese Communist Party", "Mainland", "Cross-Strait", "Reunification", "Independence", "Military Defense", "Sovereignty" and "United Nation".

### 4.4 Descriptive Statistics

We first examine how education is related to demographic characteristics in the TSCS. Table 1 reports the mean and standard deviation of each characteristic. Each row also reports the coefficient and standard error from a separate regression of years of education on that characteristic, controlling for town fixed effects. Average educational attainment in the sample is 11.09 years.

Men, younger respondents, higher-income individuals, urban residents, and those with migrant ances-

[13] Each wave samples 0.05-0.1‰ of the population. TEDS was initiated by National Chengchi University and supported by the National Science and Technology Council, Taiwan. Unlike the TSCS, which conducts on-site interviews for all respondents, around half of the interviews in TEDS are conducted by phone or online.

try have more years of education.[14] Those who are or have been married have less education. This is consistent with older cohorts being more likely to be married and having received less schooling. Taiwan extended compulsory education to nine years in 1968, raising schooling levels for younger generations. The higher education of migrants also has historical roots. Many arrived with elite status during the KMT retreat from the mainland and had privileged access to educational and financial resources during the Martial Law period (1949–1987).

Education is not randomly assigned: it reflects historical and policy changes and is correlated with characteristics that may also influence attitudes toward China. Our baseline specification accounts for age, age squared, sex, marital status, an urban indicator, town fixed effects, and time trends. After presenting the main results, we control for other correlates in the robustness exercises and examine heterogeneity by birth cohort and age.

The TSCS also asks whether respondents have visited the mainland or have a family member who has stayed there. In our sample, 28% answer yes to this question. The share is higher among more educated respondents. High school graduates, for example, are 25% more likely to answer yes than those who did not complete high school (not presented in tables). These patterns indicate substantial personal interaction across the strait, particularly among more educated Taiwanese.

### 4.5 Mainland Growth

Our study covers thirty years of rapid economic growth in mainland China. Over this period, mainland GDP per capita grew faster than Taiwan's, narrowing the income gap. Figure 3 plots annual real GDP per capita growth and GDP per capita in constant 2015 U.S. dollars. Mainland growth varies substantially from year to year and generally exceeds growth in Taiwan. Taiwanese growth is lower on average but positive in most years. The two growth rates are not perfectly correlated. This is important because concurrent growth in Taiwan could otherwise account for the relationship we study. In the robustness analysis, we control for Taiwan's growth rate and those of its other major trading partners.

[14]The TSCS records whether an individual has a parent with ancestry from the KMT diaspora (*waishengren)*. We code anyone with at least one such parent as a "migrant", and all others as "locals". For young respondents, this means that migrants include those with at least one grandparent from the mainland. For middle-aged respondents, this includes those with at least one parent from the mainland. There are a few older respondents who came from the mainland as children. For younger respondents, it is possible to measure ancestry with error if their parents have mixed ancestry.

# 5 Empirical Results

## 5.1 Baseline Estimates

We begin with the relationship between mainland Chinese growth and support for reunification, the status quo, and independence. Table 2 reports the baseline estimates from individual-level TSCS regressions. Panel A includes mainland GDP growth and its interaction with years of education. The interaction captures how the response to mainland growth differs with educational attainment.

Column (1) presents the estimates for reunification. The interaction between growth and education is 0.068, while the uninteracted growth coefficient is -0.855. Both are statistically significant at the 1% level. The estimates imply that faster mainland growth reduces support for reunification among those with little education. This negative response becomes smaller as education increases and reverses for those with more schooling.

In column (2), we use support for the status quo as the outcome. As for reunification, the education interaction is positive and the uninteracted growth coefficient is negative. Neither estimate is statistically significant.

Column (3) reports the estimates for formal independence. The education interaction is -0.075 and statistically significant at the 5% level. The point estimates imply that faster mainland growth increases support for independence among less educated respondents and reduces it among more educated respondents. Thus, the estimates for independence and reunification point to the same divergence: when the mainland grows faster, more educated Taiwanese become more favorable to integration, while the less educated move away from it.

In column (4), we examine responses coded as "other" or missing. The uninteracted growth coefficient is positive and the education interaction is negative. The latter is not statistically significant, so we find less precise evidence of an education-based difference for this outcome.

For comparison, average support for reunification is 12.2% and average support for independence is 23.5%. An increase in mainland growth from 5% to 10% implies a 4.28 percentage point (p.p.) decline in support for reunification among uneducated respondents, or 35.04% of the mean, and a 2.63 p.p. increase in support for independence, or 11.19% of the mean. For respondents with a master's degree (18 years of education), the same change in growth implies a 1.85 p.p. increase in support for reunification and a 4.12 p.p. decline in support for independence. These changes are 15.12% and 17.53% of the respective means.

The interquartile range of education is 7 years. Thus, the same increase in growth implies a reunification response that is 2.38 p.p. larger, and an independence response that is 2.63 p.p. smaller, at the 75th than at the 25th percentile of education. These differences are 19.51% and 11.17% of the respective outcome means.

Taken literally, the coefficients in Panel A, column (1), imply that the response of reunification support changes sign at about 12.6 years of schooling ($0.855/0.068 = 12.57$). The point estimates imply a negative response below 12.6 years and a positive response above it. In the TSCS sample, 60% of respondents have completed high school or obtained a higher degree.

To allow for a less restrictive relationship with education, Panel B replaces years of schooling with education terciles. The results are qualitatively similar to those in Panel A. The growth interactions for the middle and highest terciles are positive and statistically significant for reunification. The independence estimates are less precise: only the interaction for the highest tercile is significant, at the 10% level.

Panel C allows the relationship to differ across growth terciles. Relative to the lowest growth tercile, the education interaction for reunification is negative in the middle tercile and positive in the highest tercile. The positive interaction in the baseline therefore does not imply a monotonic relationship across all growth rates.

We also examine whether the education interaction differs by birth cohort or age. Table 3 shows no statistically significant difference in the reunification interaction for respondents born after 1980 or those older than 55. Figure 5 and Table A.5 report positive cohort-specific point estimates. We return to these comparisons when examining political education as a possible mechanism.

## 5.2 Robustness

### 5.2.1 Growth Rates of Other Countries

One concern is that mainland growth is correlated with growth in Taiwan or its other trading partners. Our estimates could then capture changes in economic conditions outside the mainland. Mainland China accounts for 30% of Taiwan's international trade; the other main partners in the analysis are the U.S. (13%) and Japan (10%). In Table A.2, we add their growth rates and Taiwan's growth rate, together with their interactions with education. The mainland growth coefficient and its education interaction are similar to the baseline. Taiwanese and U.S. growth do not produce the same positive education interaction. Neither

the Taiwanese growth coefficient nor its education interaction is statistically significant. The uninteracted U.S. growth coefficient has the same sign as mainland growth and is significant at the 1% level, but its education interaction is small and imprecise. These results suggest that growth in Taiwan and its other major trading partners does not account for our main finding.

The coefficients on Japanese growth and its education interaction are both positive and statistically significant. One possible interpretation relates to the history of Japan, China and Taiwan. Japan colonized Taiwan in the early 20th century and invaded mainland China during World War II (1937-1945), when the KMT was China's wartime government. The deaths of 15-20 million Chinese during the eight years of war remain prominent in schools, movies and books in both the mainland and Taiwan. This history may be relevant to the positive association, although the estimates do not distinguish among explanations.

#### 5.2.2 Additional Controls

We next consider characteristics that may be correlated with education and affect responses to mainland growth. Panel A of Table A.1 reports the sensitivity checks for reunification. In column (2), we replace the linear and quadratic time trends with year fixed effects. These also absorb the uninteracted growth term. In columns (3)-(5), we add interactions of mainland growth with sex and marital status, migrant status, and income, respectively. These controls allow respondents with different characteristics to respond differently to mainland growth.

In column (6), we interact growth with an urban area indicator. This addresses the concern that differences in development across townships are correlated with both education and reunification preferences. Column (7) adds the interaction of growth with township distance to the mainland. More educated Taiwanese tend to live in the west, closer to the mainland. Distance may therefore capture differences in exposure to military threats that would otherwise be attributed to education.

Columns (8)-(10) introduce potential "bad controls" that may themselves respond to the economic or political conditions underlying reunification preferences. The DPP favors independence and opposes the One China position. While in office, it has reduced China-related content in school curricula and pursued policies and diplomacy emphasizing Taiwan's autonomy. In column (8), we control for DPP incumbency interacted with education. In columns (9) and (10), we interact education with log mainland GDP and log mainland GDP per capita. These controls account for the fact that, as the mainland becomes wealthier and the scope for catching up diminishes, maintaining high growth becomes more difficult.

We also examine sensitivity to the treatment of standard errors. The baseline clusters at the township level. Columns (11) and (12) instead use county-level wild bootstraps (Cameron et al., 2008) and Conley (1999) spatial standard errors with a 25 km cutoff. The results remain robust to these choices. Columns (13) and (14) add interactions of growth with age, and with age, sex, and marital status jointly. Across Panel A, the education interaction remains positive and statistically significant, ranging from 0.057 to 0.079.

We focus on reunification for brevity. Table A.1 reports the same checks for the status quo, independence and "others", and the corresponding income estimates in Panel E. The independence interaction is less precise in columns (9), (10), (13), and (14), while the income interaction remains positive. We also allow for lagged growth. Table A.3 adds growth three years earlier and its interaction with education. The contemporaneous education interaction remains positive for reunification, although the lagged interaction is negative.

### 5.3 Voting Outcomes

We next ask whether the pattern in stated preferences is also present in voting behavior. We use township-level vote shares and turnout from the Central Election Commission for all presidential and legislative elections between 1995 and 2024. The data cover nine legislative elections (1995, 1998, 2001, 2004, 2008, 2012, 2016, 2020, and 2024) and eight presidential elections (1996, 2000, 2004, 2008, 2012, 2016, 2020, and 2024). The two elections took place on separate dates before 2012 and on the same day thereafter.

Electoral participation is high: average turnout is approximately 75% in presidential elections and 68% in legislative elections. Voting requires ROC citizenship, a minimum age of 20, and at least six consecutive months of residency, or four months for legislative elections.

To interpret the voting results, it is useful to distinguish the parties' cross-strait positions and economic platforms. The KMT favors closer ties with the mainland and is generally more supportive of business interests and liberalization. Under President Ma Ying-jeou (2008–2016), for example, it promoted direct flights, tourism, bilateral investment and trade. The DPP places greater emphasis on labor protections, economic self-reliance and reduced integration with the mainland. President Chen Shui-bian's "proactive management and effective liberalization" policy, announced in 2006, emphasized the risks of mainland investment. KMT support is therefore usually interpreted as support for the status quo or gradual integration, whereas DPP support reflects a preference for official independence.

We first compare town-year averages of TSCS preferences with local vote shares. Figure 6 shows that reunification support is positively correlated with the KMT vote share, both when pooling presidential and legislative elections (Panel A) and when using presidential elections alone (Panel B). Table A.4 reports the pooled estimates and extends the comparison to DPP votes and the other survey responses. KMT vote share is positively correlated with reunification support and negatively correlated with independence support. DPP vote share has the opposite pattern. Neither party's vote share is significantly correlated with support for the status quo. These descriptive relationships link the survey responses to electoral behavior. We next examine whether mainland growth shifts votes toward the KMT and away from the DPP more strongly in better-educated townships.

We estimate a specification similar to the baseline, equation (1), with voting outcomes measured at the township-by-election-year level. We use township education in 1990 to measure heterogeneity in the response to mainland growth. Other controls are also measured in 1990 and interacted with mainland growth to account for potentially confounding differences across townships. All specifications include township fixed effects and linear and quadratic year trends. We weight observations by the number of eligible voters and cluster standard errors at the township level.

Table 6 presents the estimates. The education interaction is positive for KMT vote share in columns (1)–(3) and negative for DPP vote share in columns (4)-(6), consistent with the survey results for reunification and independence. The estimates are more precise for presidential elections; the DPP interaction in legislative elections is not statistically significant. This difference is consistent with foreign policy being more important in presidential races. The patterns are similar whether we measure education by average years of schooling or the high school completion rate. Columns (7)-(9) report results for other parties. Their education interaction is positive and statistically significant in presidential elections in both panels, but the remaining estimates are less consistent. Thus, the voting response is not simply a reallocation between the KMT and DPP.

The mean KMT and DPP vote shares are 41.9% and 42.6%, respectively, and the interquartile range of township education is 1.27 years. A five-percentage-point increase in mainland growth implies a KMT vote-share increase that is 0.81 percentage points larger at the 75th than at the 25th percentile of education ($0.128 \times 0.05 \times 1.27 = 0.0081$). This difference is 1.94% of the mean KMT vote share. Education varies less across townships than across individuals, so the implied magnitudes in Table 6 are smaller than those in Table 2.

### 5.4 Reunification and Income

One interpretation of our results is that mainland growth creates larger economic gains for more educated Taiwanese while imposing costs on the less educated. These differential economic effects may, in turn, increase support for reunification among the more educated and reduce it among the less educated. To examine this possibility, we re-estimate the baseline specification using log individual income as the outcome. Table 4 presents the estimates. Columns (1)-(2) measure education in years, columns (3)-(4) use a high school indicator, and columns (5)-(6) use a high skill indicator. Across all specifications, the interaction between mainland growth and education or skill is positive, while the uninteracted effect of mainland growth is negative. This pattern closely parallels the results for reunification preferences in Panel A of Table 2. The estimates imply that more educated and higher-skilled Taiwanese experience more favorable income changes when the mainland economy grows, while less educated and lower-skilled Taiwanese experience less favorable ones. This is consistent with the former being better positioned to benefit from economic opportunities in the mainland, while the latter face greater competition from lower-skilled mainland labor.

One potential concern is that these income changes reflect growth in Taiwan rather than in the mainland. In columns (2), (4), and (6), we therefore control for Taiwan's growth rate and its interaction with the corresponding education or skill measure. The coefficients on the mainland growth interactions remain similar to those in columns (1), (3), and (5), respectively. The differential income response to mainland growth therefore does not appear to be driven by contemporaneous growth in Taiwan. This is also consistent with Figure 3, which shows that mainland and Taiwanese growth are far from perfectly correlated.

The response to domestic growth is also different. In column (2), the interaction between Taiwanese growth and years of education is positive and statistically significant, while the uninteracted coefficient is imprecisely estimated. In columns (4) and (6), Taiwanese growth has a positive average association with income, but its interactions with the high school and high-skill indicators are not statistically significant. Thus, income responses to mainland growth exhibit a more systematic education and skill gradient than responses to domestic growth.

### 5.5 Additional Mechanisms

We next examine other evidence on the economic explanation and consider alternative mechanisms. We first ask whether mainland growth is associated with differences in ties to the mainland and in the importance respondents attach to economic issues. We then examine national identity and early-life political education. These mechanisms need not be mutually exclusive.

Knowledge of the mainland economy and its institutions may help educated Taiwanese benefit from mainland growth. We therefore examine whether respondents have visited the mainland or whether they or their family members have worked, conducted business or invested there. These ties are common. According to Taiwan's Ministry of the Interior, over 2.5 million Taiwanese, or 10.6% of Taiwan's population, visited the mainland in 2024. The 2020 China Population Census reports 157,886 Taiwanese living on the mainland, equivalent to 0.67% of Taiwan's population.

Using information from TEDS, as described in Section 4.3, we estimate a specification similar to the baseline. For this outcome, we measure mainland growth using a three-year moving average. This reduces short-term fluctuations and captures the more sustained economic conditions that may influence decisions to travel, work or invest abroad.

Column (1) of Table 5 shows that, when mainland growth is higher, more educated respondents are relatively more likely to have visited the mainland or to have personal or family economic ties there. This is consistent with the economic explanation: mainland growth may give skilled Taiwanese stronger incentives to pursue professional opportunities, business ties and investments across the strait. These opportunities may be less accessible or attractive to the less educated.

We then examine what respondents regard as Taiwan's primary challenge. For these TEDS outcomes, we use annual mainland growth. Columns (2) and (3) of Table 5 show that, as mainland growth rises, more educated respondents become more likely to cite the economy and less likely to cite geopolitical concerns, relative to less educated respondents. Economic considerations therefore become relatively more salient among the educated when they assess Taiwan's primary challenges.

Mainland growth may also change reunification preferences through national identity and political values. The conceptual framework describes one such explanation based on group status. In Shayo (2009), individuals derive utility from identifying with high-status groups. If mainland growth raises China's economic and geopolitical standing, it may encourage identification as Chinese. Stronger identification

could, in turn, make reunification more acceptable or desirable.

Columns (4)-(6) of Table 5 report the identity results from the TSCS. The education interaction is positive and statistically significant for identifying as exclusively Chinese or both Chinese and Taiwanese, the combined outcome in column (4). It is negative and statistically significant for identifying as exclusively Taiwanese in column (5).[15] Thus, mainland growth is associated with a stronger shift toward Chinese identity and away from exclusively Taiwanese identity among more educated respondents. This is consistent with the pattern in reunification preferences. It does not, however, establish that the identity change accounts for the preference response.

Another explanation is political indoctrination through schooling. In the early decades of KMT rule, curricula promoted Chinese national identity and unification with the mainland. After democratization began in the late 1980s, reforms introduced more local and regional history, de-emphasized "One-China", and promoted democratic values. If exposure to the earlier curricula explains our results, the response of reunification support to mainland growth should be stronger among older cohorts educated under that system than among younger cohorts educated after the reforms.

To examine this prediction, we interact mainland growth and education with an indicator for respondents born after 1980, whose schooling was more likely to overlap with the reforms. Table 3 reports the estimates. The triple interaction is not statistically significant in columns (1)-(4). Columns (5)-(8) instead use an indicator for being older than 55. These triple interactions are also imprecise, except in column (8), where the outcome is an undecided or missing response. We then replace the post-1980 indicator with birth cohort dummies. Figure 5 plots the cohort estimates and 95% confidence intervals, and Table A.5 reports the full results. The reunification point estimates are positive for every cohort. We find no clear evidence of systematic cohort differences in the education-based response to mainland growth.

The cohort estimates provide limited support for curricular indoctrination as the explanation for our results, although their imprecision prevents us from ruling out a role for early-life political education. The results on income, ties to the mainland and economic concerns are consistent with an economic explanation for the differences in reunification preferences. The identity results suggest an additional, potentially complementary mechanism. We next use an online experiment to examine how economic information and military threats affect reunification preferences.

[15] Few individuals identify as exclusively Chinese (Figure A.1 plots the shares of individuals identifying as each group over time).

# 6 Online Survey

The observational analysis in Section 5 uses year-to-year variation in mainland GDP growth across TSCS waves from 1995 to 2022. We complement this evidence with an online survey experiment conducted from February to August 2026. The experiment has two purposes. First, we examine whether randomly assigned economic information changes reunification preferences differently by education, and whether military information alters this response. Second, we elicit expectations about the economic and political consequences of alternative cross-strait relationships to help interpret the preference results.

## 6.1 Survey Design and Sample

We recruited Taiwan residents aged 20 or older through Facebook. Respondents provided consent and completed the survey on Qualtrics. We cross-randomized economic and military information at the individual level, producing a 3×2 between-subjects factorial design. After completing the background questions, respondents received an economic prompt followed by a military prompt. The economic prompt reported high mainland growth, low mainland growth, or placebo information. The military prompt reported mainland military activities in or near the Strait, or placebo information. The two assignments generate six treatment groups.

Figure B.1 plots cumulative recruitment and the usable sample from February to August 2026. Table B.1 reports the successive sample restrictions. Of 3,518 consented responses, 2,246 completed the background questions and proceeded to the experiment. We exclude repeated submissions from the same IP address under the same treatment assignment, repeated email addresses, respondents younger than 20, and incomplete responses. The final sample includes 1,632 respondents.

Table B.2 compares pre-treatment characteristics across the six treatment groups. The broad balance is consistent with random assignment. Two of the fifteen joint balance tests have p-values below 0.10 (TPP vote share and migrant status), in line with what one would expect by chance across fifteen comparisons. To assess how the sample compares with the Taiwanese population, Table B.3 reports comparisons with the 2020 TSCS and 2024 presidential election data. Experimental respondents are younger and have 15.56 years of schooling on average, compared with 12.28 in the TSCS. They are also more likely to report voting for the DPP. These differences matter for the generalizability of the experiment. Table B.4 reports the relationships between education, demographics and voting within the experimental sample.

After both prompts, we ask respondents about their preferred cross-strait relationship and expected individual income over the next ten years. The main outcome is a continuous reunification preference measure ranging from -1 to 1: -1 denotes independence for sure, 0 the status quo, and 1 reunification for sure. The sample mean of the preference measure is -0.18, with a standard deviation of 0.39, so the average respondent leans toward the independence side of the scale. We then ask hypothetical questions about economic conditions, political rights, security risks and future policies under alternative cross-strait relationships. These outcomes allow us to examine respondents' assessments of the economic benefits and political costs of integration.

### 6.2 Effects on Reunification Preferences

We estimate how the economic and military treatments affect reunification preferences and whether these effects vary with education. For respondent $i$, the specification is:

$$\begin{aligned} Y_i =& \alpha + \beta_1 EconHigh_i + \beta_2 EconLow_i + \beta_3 Mil_i + \beta_4 Edu_i \\ &+ \beta_5 (EconHigh_i \times Edu_i) + \beta_6 (EconLow_i \times Edu_i) + \beta_7 (Mil_i \times Edu_i) \\ &+ \beta_8 (EconHigh_i \times Mil_i) + \beta_9 (EconLow_i \times Mil_i) \\ &+ \beta_{10} (EconHigh_i \times Mil_i \times Edu_i) + \beta_{11} (EconLow_i \times Mil_i \times Edu_i) + \varepsilon_i. \end{aligned} \tag{2}$$

The indicator $EconHigh_i$ equals one if respondent $i$ receives high-growth news; $EconLow_i$ equals one if respondent $i$ receives low-growth news; and $Mil_i$ equals one if respondent $i$ receives news about mainland military activities in or near the Strait. The omitted group receives both placebos, and $Edu_i$ measures years of schooling. We estimate Equation 2 by OLS. Column (1) of Table 7 includes no additional controls and uses heteroskedasticity-robust standard errors. Column (2) adds individual characteristics and town fixed effects, with standard errors clustered at the town level.[16]

We compare each economic treatment with the economic placebo. In the military placebo group, the effect of high-growth news is $\beta_1 + \beta_5 Edu$. In the military treatment group, it is $\beta_1 + \beta_8 + (\beta_5 + \beta_{10}) Edu$. Thus, $\beta_5$ is the education gradient in the response to high-growth news without military news, and $\beta_{10}$ measures how military news changes this gradient. The corresponding low-growth interactions are $\beta_6$ and $\beta_{11}$.

[16]Individual characteristics include age, age squared, sex, and marital status. Column (1) uses all 1,632 respondents. Column (2) excludes 30 singleton observations when absorbing town fixed effects, leaving 1,602 respondents.

In column (1), the coefficient on EconHigh x Edu is 0.043, with a standard error of 0.017. Adding controls and town fixed effects in column (2) gives a similar estimate of 0.042, with a standard error of 0.017. Thus, in the military placebo group, high-growth news shifts preferences toward reunification more among respondents with more schooling. To assess the magnitude, the column (2) estimate implies that a four-year difference in education corresponds to a 0.168-point difference in the treatment response, or about 0.43 standard deviations of the reunification measure. This comparison describes differences in responses, not the treatment effect for either education group.

The coefficient on EconHigh is negative in both columns. Together with the positive coefficient on EconHigh x Edu, this implies that the estimated treatment effect rises with schooling. The uninteracted coefficient is the effect at zero years of schooling, not the effect for a typical less educated respondent. To determine the sign and significance of the effect at a given education level, we need the relevant linear combination of coefficients.

The low-growth results are different. The coefficient on EconLow x Edu is 0.003 in column (1) and 0.006 in column (2); neither is statistically significant. The coefficients on EconHigh x Edu and EconLow x Edu differ significantly, with p-values of 0.049 and 0.038 in columns (1) and (2), respectively. The education gradient in the response to high-growth news is therefore larger than that for low-growth news. We turn to respondents' expectations below to help interpret this difference.

The coefficient on Mil x Edu is imprecisely estimated. The coefficient on EconHigh x Mil x Edu is negative in both columns, but imprecisely estimated. The coefficient on EconLow x Mil x Edu is also imprecise, and the two triple-interaction coefficients do not differ significantly. We therefore cannot conclude that military news amplifies or eliminates the education-based response to economic information. The estimates also do not rule out a role for security concerns in reunification preferences.

### 6.3 Expectations about Cross-Strait Relations

We first describe what respondents expect under reunification and independence. Tables 8 and 9 report responses from the 277 participants assigned to both placebos. These expectations were elicited after the placebo prompts; they describe the control group, not pre-treatment beliefs for the full sample. The questions distinguish economic conditions from political institutions and security risks, allowing us to examine the different considerations behind cross-strait preferences.

Panel A of Table 8 shows that control-group respondents expect political and civil liberties to decline

under reunification. In particular, 77.6% anticipate less freedom to criticize the government publicly, and 71.8% expect less freedom to participate in collective public action. Panel B shows that independence is expected to make economic exchange more difficult: 67.9% anticipate higher costs of trading with or investing in the mainland. Respondents thus associate formal independence with economic costs. This does not mean that they expect reunification to increase their own income.

Table 9 examines these expectations in more detail. In Panel A, respondents expect direct village elections to continue for 14.2 years after reunification, compared with 9.0 years for presidential elections. The median expected duration of presidential elections is only three years, and 35.4% expect them to end immediately. Respondents therefore anticipate a loss of electoral participation, especially at the national level.

Panels B and C show that respondents also expect substantial risks under independence. Most anticipate military harassment, economic sanctions or a blockade by the mainland, and 67.9% expect a full-scale invasion. They are more likely to expect diplomatic and other allied assistance than direct military intervention by the United States and its allies, which 44.4% expect in a conflict. These responses point to economic, political and security considerations in cross-strait choices. We next ask whether economic information changes these expectations, focusing first on income and the survival of elections under reunification.

### 6.4 Beliefs and Potential Mechanisms

Economic information may change the expected gains and losses from integration differently by education. We examine this possibility using respondents' expectations and attitudes as outcomes in the full factorial specification of Equation 2. We use robust standard errors and no additional controls. To keep the tables readable, we report only the coefficients on EconHigh, EconLow, and their interactions with Edu. The regressions retain all military terms and interactions. The coefficients on EconHigh x Edu and EconLow x Edu therefore describe how responses to economic news vary with education in the military placebo group.

**Growth expectations and income.** Panel A of Table 10 reports the effects on respondents' estimates of GDP growth in Taiwan and the mainland and on expected individual income over the next ten years. None of the displayed coefficients on EconHigh, EconLow, EconHigh x Edu, or EconLow x Edu is statistically significant. For expected income, the coefficients on EconHigh x Edu and EconLow x Edu

are close to zero.

Expected income is not the same as realized income. In the observational analysis, we observe how respondents' income varies with mainland growth; in the experiment, we elicit their beliefs about future income. Stated income expectations may be influenced by behavioral biases and need not respond fully to macroeconomic information. For example, Rozsypal and Schlafmann (2023) document systematic errors in income forecasts consistent with households overestimating the persistence of their income. Roth and Wohlfart (2020) find that recession forecasts change expectations about job loss but not expected earnings growth conditional on keeping one's job. Hajdini et al. (2023) similarly find limited transmission from inflation expectations to expected income growth. The null response of stated income expectations therefore need not contradict the realized-income results in our observational analysis.

**Elections under reunification.** We next examine how long respondents expect direct elections to survive at different levels of government after reunification. Panel B of Table 10 shows a different pattern from income expectations. The coefficient on EconHigh x Edu is positive at all seven levels and statistically significant at the six levels above village elections. The coefficients range from 1.138 to 1.403 years per year of schooling. The coefficients on EconLow x Edu are not statistically significant, and they differ significantly from those on EconHigh x Edu at each of these six levels. Thus, in the military placebo group, the response of expected electoral duration to high-growth news is more positive among respondents with more education.

The control-group responses in Table 9 help interpret this result. Respondents generally expect elections to end under reunification, with presidential elections expected to end soonest. The positive coefficients on EconHigh x Edu suggest that high-growth news makes this political cost appear smaller to more educated respondents relative to the less educated. The question concerns whether electoral institutions will survive, not how much respondents value democracy. Greater reunification support may therefore reflect a more favorable assessment of whether elections would continue, rather than a greater willingness to give them up.

This provides a possible explanation for the education gradient in reunification preferences that does not rely on higher expected personal income. The difference between high- and low-growth news also parallels the preference results. We emphasize that the coefficients compare treatment responses across education levels; they do not show an increase in expected electoral duration for every group. These seven outcomes concern closely related institutions and are part of a larger set of belief measures. We

therefore view the common pattern as suggestive evidence on political expectations, not as independent confirmation of a causal mechanism.

**The status quo.** Table 11 reports the effects on the expected duration of the status quo and on future conflict. The coefficients on EconHigh x Edu and EconLow x Edu for status-quo duration and for economic, political and military conflict are not statistically significant.

**Conditions under reunification.** In Table 12, we examine expected economic conditions, rights and military duty after reunification. Panel A shows no statistically significant coefficients on EconHigh x Edu for income, wealth, social welfare or civil liberties. The evidence for an education gradient in these broader measures of rights and living standards is less clear than for electoral duration. In Panel B, the coefficient on EconLow x Edu for expected military duty is negative, while the coefficient on EconHigh x Edu is imprecisely estimated.

**Independence and external responses.** Table 13 reports expectations about conditions under formal independence in Panel A, mainland responses in Panel B, and U.S. and allied support in Panel C. Some coefficients or contrasts are significant, but the pattern differs across outcomes. The coefficient on EconLow x Edu is negative for expected wealth under independence. The coefficients on EconHigh x Edu and EconLow x Edu are positive for expected military harassment, with no significant difference between them. The coefficient on EconLow x Edu for expected direct allied military intervention is negative, but is not significantly different from the coefficient on EconHigh x Edu. We therefore do not find a consistent response to high-growth news across these security outcomes that explains the preference results.

Finally, Table B.5 examines perceptions of the mainland, international influence and individual military contributions. The coefficients on EconHigh, EconLow, EconHigh x Edu, and EconLow x Edu are imprecise, although some high- versus low-growth contrasts are significant. We find limited evidence of a broad change in these perceptions or in willingness to bear military costs.

In the military placebo group, favorable economic news shifts preferences toward reunification more among respondents with more education. This parallels the observational results. Among the belief measures, the clearest corresponding pattern is in expected electoral survival, not expected personal income. Beliefs about the political costs of integration may therefore matter alongside the income gains and economic ties examined in Section 5. We interpret this evidence cautiously. Short-run responses to information are not the same as responses to realized mainland growth. Education is not randomized, and both beliefs and preferences are measured after treatment. The estimates do not identify a causal

effect of education or establish that changes in a particular belief mediate the preference response.

# 7 Conclusion

The relationship between economic growth and support for democratic institutions is a central question in political economy. While modernization theory predicts that growth fosters demand for democracy, recent experience in fast-growing autocracies suggests a more nuanced relationship. This paper studies whether economic growth in an autocratic regime can increase support for that regime among individuals living in a stable democracy, and how these effects vary with education.

Using individual-level survey data from Taiwan, we examine how mainland Chinese economic growth affects support for reunification. We find strong heterogeneity by education. Among less educated individuals, mainland growth reduces support for reunification and increases support for independence. Among more educated individuals, the effects reverse. These patterns are robust to a wide range of controls and appear in both stated preferences and voting outcomes. We provide evidence that these differences reflect heterogeneous economic exposure: mainland growth increases income and economic engagement for more educated Taiwanese, while reducing income for the less educated. An online survey experiment confirms our main results. Positive news about mainland growth increases support for reunification more among more educated respondents, while negative news generates no comparable education gradient; the gradients induced by the two treatments are statistically different. News about mainland military activity does not significantly alter the heterogeneous response to economic information.

Our findings suggest that individuals who have lived their entire adult lives in a wealthy and stable liberal democracy may nonetheless be willing to support incorporation into an autocratic regime when the economic incentives are strong enough and the military threat is real enough. These results underscore the central role of material concerns and coercive force in shaping political preferences and can help explain why the economic rise of countries such as China and Vietnam has not produced the wave of democratization anticipated by many observers.

## References


Daron Acemoglu and James A. Robinson. Why Did the West Extend the Franchise? Democracy, Inequality, and Growth in Historical Perspective. *The Quarterly Journal of Economics*, 115(4):1167–1199, 11 2000.

Daron Acemoglu and James A Robinson. A theory of political transitions. *American Economic Review*, 91(4):938–963, 2001.

Daron Acemoglu, Thierry Verdier, and James A Robinson. Kleptocracy and divide-and-rule: A model of personal rule. *Journal of the European Economic Association*, 2(2-3):162–192, 2004.

Daron Acemoglu, Simon Johnson, James A Robinson, and Pierre Yared. Income and Democracy. *American Economic Review*, 98(3):808–842, 2008.

Daron Acemoglu, Suresh Naidu, Pascual Restrepo, and James A Robinson. Democracy Does Cause Growth. *Journal of Political Economy*, 127(1):47–100, 2019.

Martin Beraja, Andrew Kao, David Y Yang, and Noam Yuchtman. AI-tocracy. *The Quarterly Journal of Economics*, 138(3):1349–1402, 2023a.

Martin Beraja, David Y Yang, and Noam Yuchtman. Data-intensive Innovation and the State: Evidence from AI Firms in China. *The Review of Economic Studies*, 90(4):1701–1723, 2023b.

Timothy Besley and Torsten Persson. Democratic Values and Institutions. *American Economic Review: Insights*, 1(1):59–76, 2019.

A Colin Cameron, Jonah B Gelbach, and Douglas L Miller. Bootstrap-based Improvements for Inference with Clustered Errors. *The Review of Economics and Statistics*, 90(3):414–427, 2008.

Filipe R Campante, Davin Chor, and Bingjing Li. The political economy consequences of china's export slowdown. *Journal of the European Economic Association*, 21(5):1721–1771, 2023.

Mario Cannella and Matteo Magnaricotte. Electoral Effects of U.S. Soft Power: Evidence from Hollywood Movies in Cold War Italy. 2025.

Jie Chen. *A Middle Class Without Democracy: Economic Growth and the Prospects for Democratization in China*. Oxford University Press, New York, 2013.

Wei-Lin Chen, Ming-Jen Lin, and Tzu-Ting Yang. Curriculum and National Identity: Evidence from the 1997 Curriculum Reform in Taiwan. *Journal of Development Economics*, 163, 2023.

Christopher Clayton, Matteo Maggiori, and Jesse Schreger. A Framework for Geoeconomics. *NBER Working Paper*, (w31852), 2023.

Timothy G Conley. GMM Estimation with Cross Sectional Dependence. *Journal of Econometrics*, 92(1): 1–45, 1999.

Bruce Dickson. *The dictator's dilemma: The Chinese Communist Party's strategy for survival*. Oxford University Press, 2016.

Rudiger Dornbusch, Stanley Fischer, and Paul Anthony Samuelson. Comparative Advantage, Trade, and Payments in a Ricardian Model with a Continuum of goods. *The American Economic Review*, 67(5): 823–839, 1977.

Jonathan Eaton and Samuel Kortum. Technology, Geography, and Trade. *Econometrica*, 70(5):1741–1779, 2002.

Georgy Egorov and Konstantin Sonin. The Political Economics of Non-democracy. *Journal of Economic Literature*, 62(2):594–636, 2024.

Haichao Fan, Yichuan Hu, Lixin Tang, and Shang-Jin Wei. Is the American Soft Power a Casualty of the Trade War? *NBER Working Paper*, (w29999), 2022.

Jennifer Gandhi and Adam Przeworski. Cooperation, cooptation, and rebellion under dictatorships. *Economics & Politics*, 18(1):1–26, 2006.

Edward L Glaeser, Rafael La Porta, Florencio Lopez-de Silanes, and Andrei Shleifer. Do institutions cause growth? *Journal of Economic Growth*, 9(3):271–303, 2004.

Edward L Glaeser, Giacomo AM Ponzetto, and Andrei Shleifer. Why Does Democracy Need Education? *Journal of Economic Growth*, 12:77–99, 2007.

Sergei Guriev and Daniel Treisman. Informational Autocrats. *Journal of Economic Perspectives*, 33(4): 100–127, 2019.

Ina Hajdini, Edward S. Knotek, II, John Leer, Mathieu Pedemonte, Robert W. Rich, and Raphael S. Schoenle. Low Passthrough from Inflation Expectations to Income Growth Expectations: Why People Dislike Inflation. Working Paper 22-21R, Federal Reserve Bank of Cleveland, 2023.

Justin Jihao Hong and Yuhan Lyu. Not always a Panacea: History education and identity-building in Taiwan. *Journal of Economic Behavior & Organization*, 229:106837, 2025.

Horacio Larreguy and John Marshall. The effect of education on civic and political engagement in nonconsolidated democracies: Evidence from nigeria. *The Review of Economics and Statistics*, 99(3): 387–401, 2017.

Seymour Martin Lipset. Some Social Requisites of Democracy: Economic Development and Political Legitimacy. *American Political Science Review*, 53(1):69–105, 1959.

Ernest Liu and David Y Yang. International power. *NBER Working Paper*, (w34006), 2025.

Monica Martinez-Bravo, Gerard Padró i Miquel, Nancy Qian, and Yang Yao. The Rise and Fall of Local Elections in China. *American Economic Review*, 112(9):2921–2958, 2022.

Joris Mueller. The domestic political economy of china's foreign aid. *Review of Economics and Statistics*, pages 1–45, 2025.

Joseph S. Nye. *Soft Power: The Means to Success in World Politics*. Public Affairs, New York, 2004. ISBN 9781586482251.

Elias Papaioannou and Gregorios Siourounis. Democratisation and Growth. *The Economic Journal*, 118 (532):1520–1551, 2008.

Torsten Persson and Guido Tabellini. Democratic Capital: The Nexus of Political and Economic Change. *American Economic Journal: Macroeconomics*, 1(2):88–126, 2009.

Adam Przeworski, Michael E. Alvarez, José Antonio Cheibub, and Fernando Limongi. *Democracy and Development: Political Institutions and Well-Being in the World, 1950–1990*. Cambridge University Press, 2000. ISBN 9780521794754.

Christopher Roth and Johannes Wohlfart. How Do Expectations about the Macroeconomy Affect Personal Expectations and Behavior? *The Review of Economics and Statistics*, 102(4):731–748, 2020. doi: 10.1162/rest_a_00867.

Filip Rozsypal and Kathrin Schlafmann. Overpersistence Bias in Individual Income Expectations and Its Aggregate Implications. *American Economic Journal: Macroeconomics*, 15(4):331–371, 2023. doi: 10.1257/mac.20190056.

Moses Shayo. A Model of Social Identity with an Application to Political Economy: Nation, Class, and Redistribution. *American Political Science Review*, 103(2):147–174, 2009.

Marco Tabellini and Giacomo Magistretti. Economic Integration and the Transmission of Democracy. *Review of Economic Studies*, pages 1–28, 2024.

Jaya Y Wen. State employment as a strategy of autocratic control in china. *Review of Economics and Statistics*, pages 1–45, 2025.

Teresa Wright. *Accepting authoritarianism: State-society relations in China's reform era*. Stanford University Press, 2010.

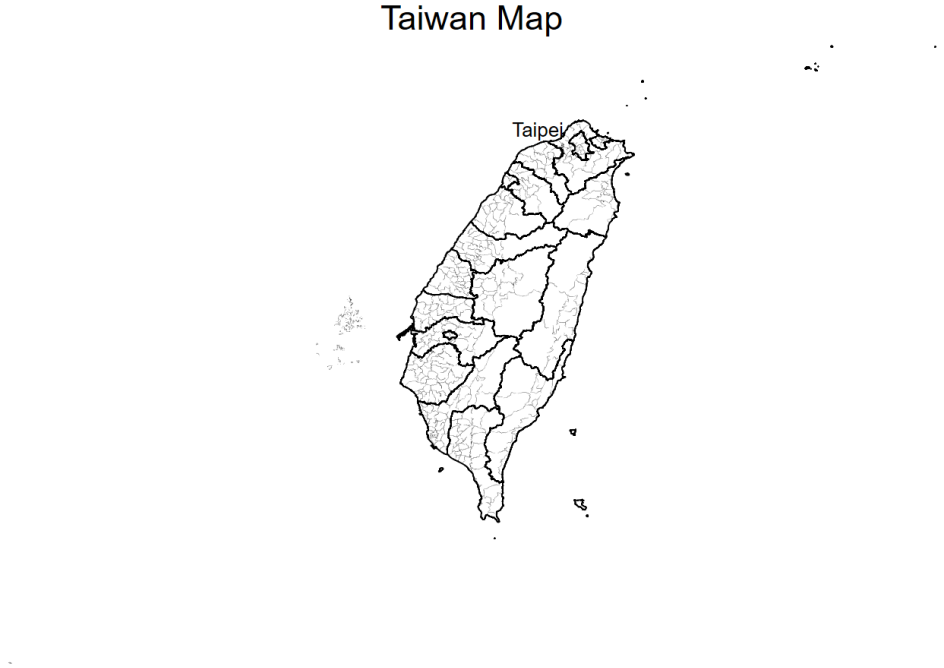
Figure 1: The Location of Taiwan



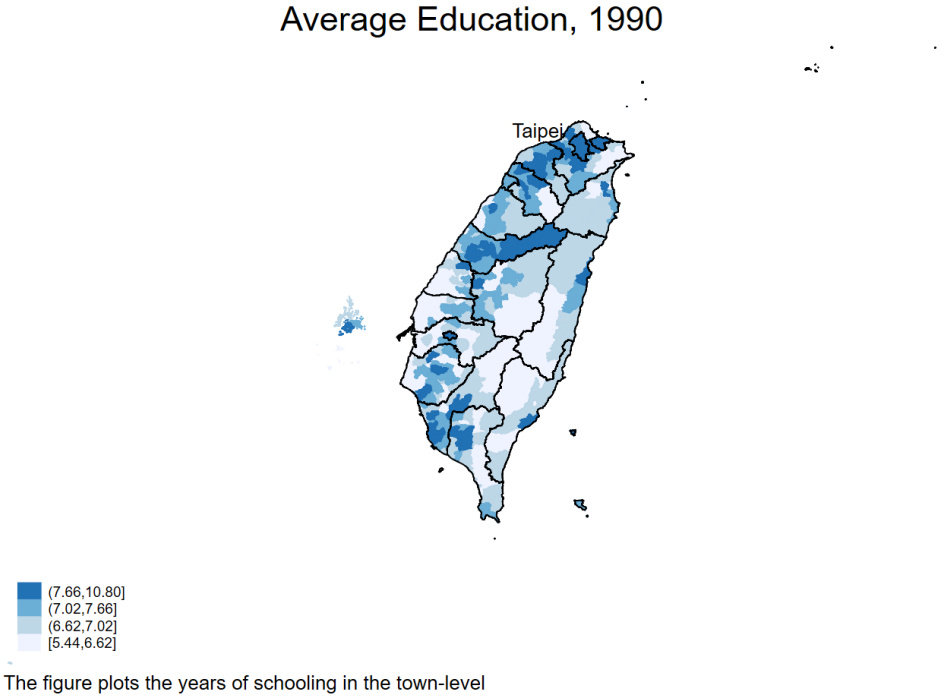

Notes: The location map is reproduced from the workbook (generated with Sora).

Figure 2: Administrative Divisions and Educational Attainment of Taiwan

A. Administrative divisions




B. Average schooling in 1990




Notes: Panel A shows county and township boundaries. Panel B shows township-level average years of schooling in 1990.

Figure 3: GDP Growth and GDP per Capita in Mainland China and Taiwan

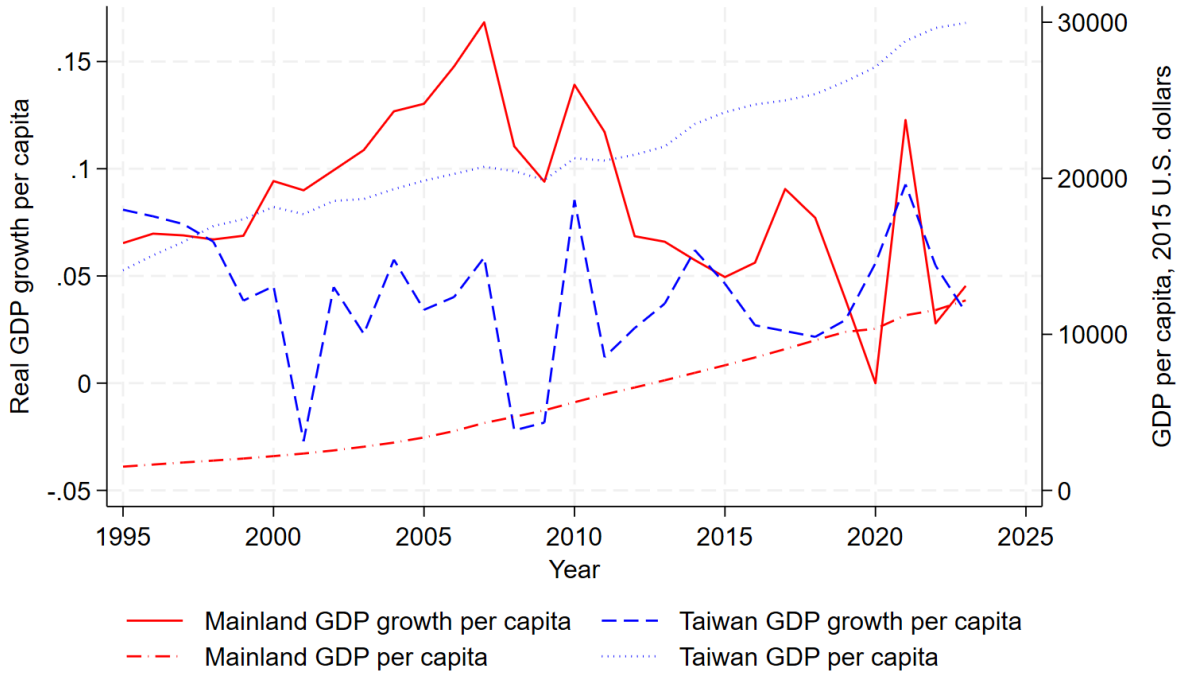
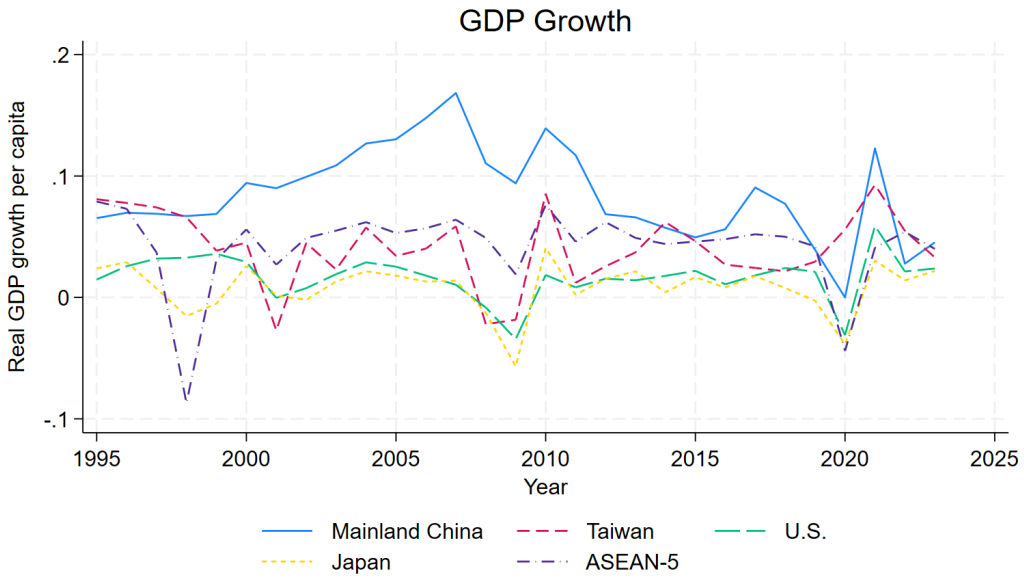


Figure 4: GDP Growth and GDP per Capita: International Comparisons

A. Growth rates




B. GDP per capita

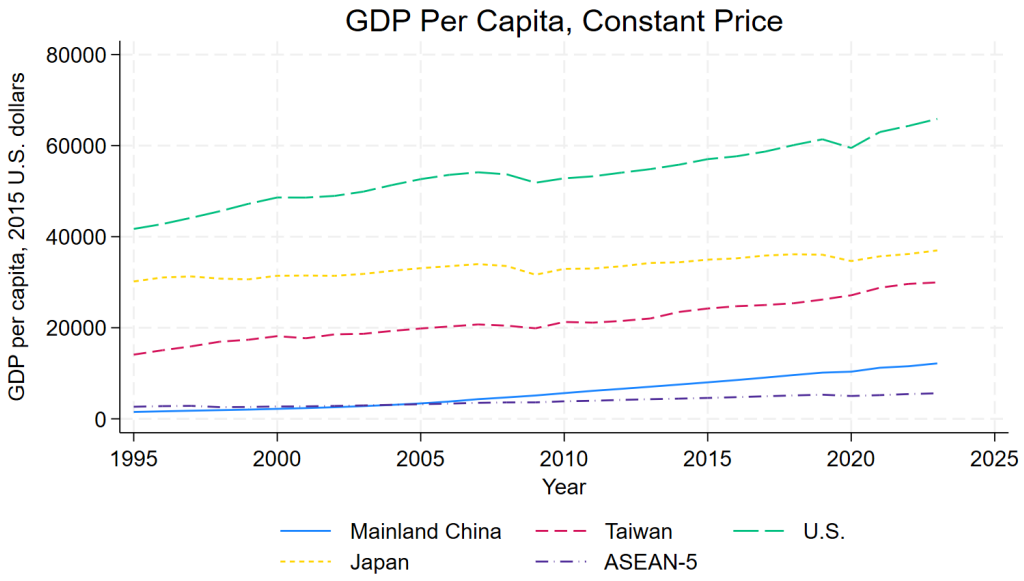


Figure 5: The Heterogeneous Effects of Growth x Edu by Cohorts

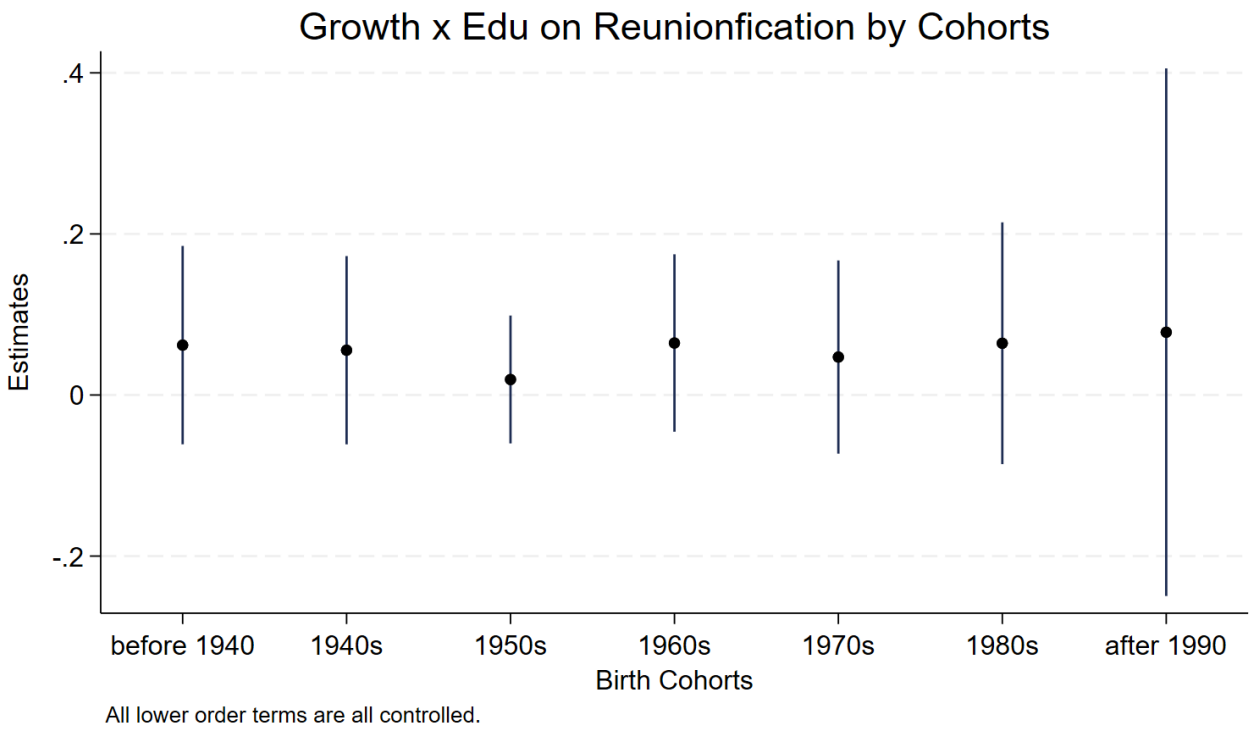
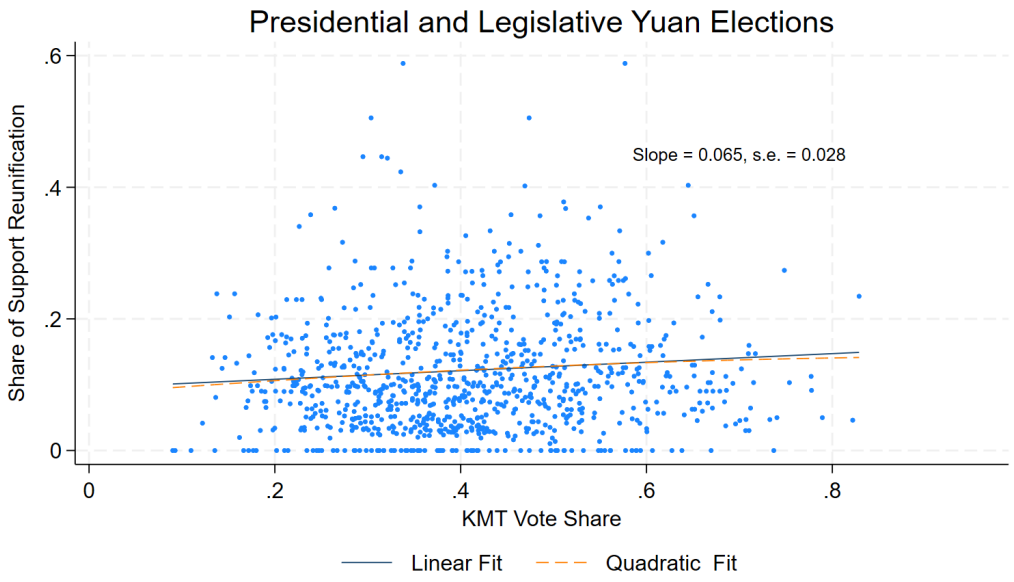
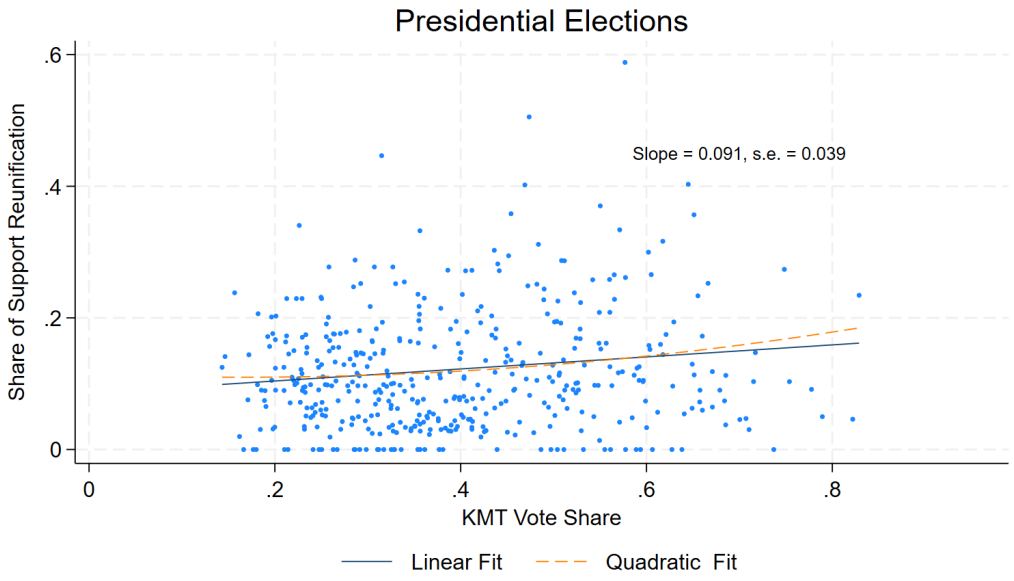


Figure 6: The Correlation of Share of Support Reunification and KMT Vote Share

A. Presidential and Legislative Yuan Elections




B. Presidential Elections




Notes: Regress Share of Support Reunification on KMT Vote Share, weighted by number of eligible voters. Robust standard errors are used in the specification.

Table 1: Correlations and Descriptive Statistics

| | | Dependent Variable: Years of Education Attainment | | | | | |
|---|---|---|---|---|---|---|---|
| | | Mean | Std. Dev. | Coef. | Std. Err. | N | Source |
| (1) | Male | 0.50 | 0.50 | 1.366 | (0.068) | 22107 | TSCS |
| (2) | Birthyear | 1962.48 | 17.27 | 0.174 | (0.003) | 22107 | TSCS |
| (3) | Age | 45.84 | 17.78 | -0.151 | (0.013) | 22107 | TSCS |
| (4) | Married | 0.74 | 0.44 | -3.919 | (0.104) | 22107 | TSCS |
| (5) | Income (logged) | 9.87 | 5.11 | 0.205 | (0.008) | 20418 | TSCS |
| (6) | Migrant | 0.11 | 0.31 | 1.135 | (0.116) | 22107 | TSCS |
| (7) | Urban | 0.68 | 0.47 | 0.380 | (0.001) | 22107 | TSCS |

Notes: Each row is one regression. Observations are at the individual-year level. Each regression controls for township fixed effects. Estimates are weighted using survey weights adjusted to ensure consistent population representation across years. Standard errors are clustered at the town level.

Table 2: The Effects of Mainland China Growth on Support Reunification

| | Dependent Variables | | | |
|---|---|---|---|---|
| | (1) Support Reunification | (2) Support Status Quo | (3) Support Independence | (4) Others (undecided or missing) |
| **Panel A. Years of Educational Attainment** | | | | |
| Growth X Edu | 0.068*** | 0.042 | -0.075** | -0.035 |
| | (0.018) | (0.037) | (0.031) | (0.027) |
| Growth | -0.855*** | -0.821 | 0.526 | 1.150** |
| | (0.291) | (0.577) | (0.425) | (0.470) |
| Edu | 0.001 | -0.002 | 0.007*** | -0.006*** |
| | (0.002) | (0.003) | (0.003) | (0.002) |
| N | 22107 | 22107 | 22107 | 22107 |
| Adj. R-sq. | 0.031 | 0.026 | 0.035 | 0.081 |
| **Panel B. Middle and Higher Education (Education Terciles)** | | | | |
| Growth x Middle Education | 0.394** | 0.283 | -0.424 | -0.253 |
| | (0.185) | (0.420) | (0.318) | (0.324) |
| Growth x Higher Education | 0.672*** | 0.374 | -0.764* | -0.282 |
| | (0.221) | (0.466) | (0.391) | (0.310) |
| Growth | -0.513** | -0.590 | 0.151 | 0.952** |
| | (0.251) | (0.508) | (0.361) | (0.412) |
| Middle Education | 0.031* | -0.000 | 0.020 | -0.050* |
| | (0.016) | (0.035) | (0.027) | (0.027) |
| Higher Education | 0.034* | -0.037 | 0.058* | -0.055** |
| | (0.019) | (0.040) | (0.032) | (0.026) |
| N | 22107 | 22107 | 22107 | 22107 |
| Adj. R-sq. | 0.032 | 0.026 | 0.035 | 0.077 |
| **Panel C. Growth Terciles** | | | | |
| 2nd Tercile Growth x Edu | -0.003** | 0.016*** | -0.012*** | -0.001 |
| | (0.001) | (0.002) | (0.002) | (0.002) |
| 3rd Tercile Growth x Edu | 0.006*** | 0.001 | -0.006*** | -0.001 |
| | (0.001) | (0.002) | (0.002) | (0.002) |
| 2nd Tercile Growth | -0.092*** | -0.035 | 0.026 | 0.102*** |
| | (0.015) | (0.033) | (0.025) | (0.029) |
| 3rd Tercile Growth | -0.109*** | 0.015 | 0.030 | 0.065** |
| | (0.018) | (0.037) | (0.026) | (0.030) |
| Edu | 0.006*** | -0.003** | 0.006*** | -0.009*** |
| | (0.001) | (0.002) | (0.001) | (0.001) |
| N | 22107 | 22107 | 22107 | 22107 |
| Adj. R-sq. | 0.039 | 0.034 | 0.041 | 0.083 |
| Dep. Var. Mean | 0.122 | 0.541 | 0.235 | 0.103 |

Notes: We use Taiwan Social Change Survey (1995-2022) in the analysis. Observations are at the individual-year level. All regressions include town fixed effects, linear and quadratic year trends, individual controls (age, age squared, sex, marriage), urban dummy, and all lower-order interaction terms. Estimates are weighted using survey weights adjusted to ensure consistent population representation across years. Standard errors are clustered at the town level. * p<0.1, ** p<0.05, *** p<0.01.

Table 3: Heterogeneous Effects: Cohort Differences

| | Dependent Variables | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | **X = Birthyear > 1980** | | | | **X = Age > 55 (retirement age)** | | | |
| | (1) Support Reunification | (2) Support Status Quo | (3) Support Independence | (4) Others (undecided or missing) | (5) Support Reunification | (6) Support Status Quo | (7) Support Independence | (8) Others (undecided or missing) |
| Growth x Edu x X | -0.049 | 0.108 | -0.103 | 0.045 | -0.010 | 0.037 | 0.087 | -0.113** |
| | (0.077) | (0.153) | (0.132) | (0.067) | (0.041) | (0.076) | (0.061) | (0.056) |
| Growth x Edu | 0.056** | 0.017 | -0.043 | -0.029 | 0.087*** | 0.002 | -0.085* | -0.004 |
| | (0.023) | (0.039) | (0.031) | (0.030) | (0.028) | (0.055) | (0.044) | (0.034) |
| Growth | -0.736** | -0.548 | 0.170 | 1.113** | -1.146*** | -0.192 | 0.570 | 0.768 |
| | (0.297) | (0.582) | (0.423) | (0.484) | (0.427) | (0.839) | (0.595) | (0.589) |
| Edu | 0.003 | -0.001 | 0.005** | -0.007*** | -0.001 | -0.003 | 0.007* | -0.003 |
| | (0.002) | (0.003) | (0.002) | (0.003) | (0.002) | (0.005) | (0.004) | (0.003) |
| N | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 |
| Adj. R-sq. | 0.033 | 0.028 | 0.042 | 0.081 | 0.032 | 0.027 | 0.036 | 0.087 |

Notes: We use Taiwan Social Change Survey (1995-2022) in the analysis. Observations are at the individual-year level. All regressions include town fixed effects, linear and quadratic year trends, individual controls (age, age squared, sex, marriage), urban dummy, and all lower-order interaction terms. Estimates are weighted using survey weights adjusted to ensure consistent population representation across years. Standard errors are clustered at the town level. * p<0.1, ** p<0.05, *** p<0.01.

Table 4: The Effect of China Growth on Income

| | Dependent Variable: Log (1 + Individual Income) | | | | | |
|---|---|---|---|---|---|---|
| | **X = Edu** | | **X = High School** | | **X = High Skill** | |
| | (1) | (2) | (3) | (4) | (5) | (6) |
| Growth x X | 3.035*** | 3.211*** | 25.359*** | 25.318*** | 33.174*** | 33.724*** |
| | (0.351) | (0.351) | (3.062) | (3.064) | (2.955) | (2.960) |
| Growth | -53.268*** | -54.280*** | -35.007*** | -33.942*** | -26.124*** | -24.975*** |
| | (6.017) | (6.092) | (4.233) | (4.285) | (3.617) | (3.676) |
| Taiwan Growth x X | | 1.045** | | 0.860 | | 1.715 |
| | | (0.439) | | (4.188) | | (4.107) |
| Taiwan Growth | | 0.995 | | 13.047*** | | 13.024*** |
| | | (6.725) | | (4.713) | | (3.506) |
| X | -0.089*** | -0.134*** | -0.643** | -0.649** | -0.549** | -0.644** |
| | (0.030) | (0.036) | (0.263) | (0.316) | (0.255) | (0.307) |
| N | 20418 | 20418 | 20418 | 20418 | 20418 | 20418 |
| Adj. R-sq. | 0.127 | 0.129 | 0.127 | 0.128 | 0.147 | 0.149 |
| Dep. Var. Mean | 9.87 | 9.87 | 9.87 | 9.87 | 9.87 | 9.87 |

Notes: We use Taiwan Social Change Survey (1995-2022) in the analysis. Observations are at the individual-year level. All regressions include town fixed effects, linear and quadratic year trends, individual controls (age, age squared, sex, marriage), urban dummy, and all lower-order interaction terms. Estimates are weighted using survey weights adjusted to ensure consistent population representation across years. Standard errors are clustered at the town level. * p<0.1, ** p<0.05, *** p<0.01.

Table 5: The Effect of China Growth on Mainland Visits, Primary Issues, and National Identity

| | Dependent Variables | | | | | |
|---|---|---|---|---|---|---|
| | (1) Visited or Stayed on Mainland | (2) Primary Issue: Economy | (3) Primary Issue: Geopolitics | (4) Identity: Chinese and Taiwanese | (5) Identity Exclusively Taiwanese | (6) Identity: Other |
| Growth X Edu | 0.145*** | 0.099*** | -0.043** | 0.070** | -0.067** | -0.003 |
| | (0.032) | (0.022) | (0.017) | (0.029) | (0.029) | (0.014) |
| Growth | -0.379 | -1.263*** | 0.676*** | 0.586 | -0.957** | 0.371* |
| | (0.452) | (0.295) | (0.203) | (0.467) | (0.464) | (0.189) |
| Edu | 0.009** | -0.006*** | 0.014*** | 0.018*** | -0.017*** | -0.001 |
| | (0.004) | (0.002) | (0.002) | (0.003) | (0.003) | (0.001) |
| N | 18361 | 39529 | 39529 | 20245 | 20245 | 20245 |
| Adj. R-sq. | 0.087 | 0.063 | 0.039 | 0.126 | 0.125 | 0.022 |
| Dep. Var. Mean | 0.264 | 0.342 | 0.124 | 0.380 | 0.591 | 0.029 |

Notes: We use Taiwan's Election and Democratization Study (2001-2020) for columns (1)-(3) and Taiwan Social Change Survey (1995-2022) for columns (4)-(6) in the analysis. Observations are at the individual-year level. Growth in the column (1) is the three-year moving average of growth as the depedent variable is within last three years activity. The "Primary Issue: Economy" in column (2) is the issues with words: "Economy", "Finance", "Investment", "Industry", and "Entreprenuer". The "Primary Issue: Geopolitics" in column (3) is the issues with words: "Chinese Communist Party", "Mainland", "Cross-Strait", "Reunionfication", "Independence", "Military Denfense", "Sovereignty", and "United Nation". "Identity: Chinese and Taiwanese" in column (4) equals to one if individuals identify themself as "Exclusively Chinese" or "Both Chinese and Taiwanese". All regressions include town fixed effects, linear and quadratic year trends, individual controls (age, age squared, sex, marriage), urban dummy, and all lower-order interaction terms. Estimates are weighted using survey weights adjusted to ensure consistent population representation across years. Standard errors are clustered at the town level. * p<0.1, ** p<0.05, *** p<0.01.

Table 6: The Effect of China Growth on Voting

| | Dependent Variables | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| | **KMT** | | | **DPP** | | | **Others** | | |
| | (1) All | (2) President | (3) Legislative | (4) All | (5) President | (6) Legislative | (7) All | (8) President | (9) Legislative |
| **Panel A. Years of Educational Attainment** | | | | | | | | | |
| Growth X Average Edu, 1990 | 0.128*** | 0.198*** | 0.097* | -0.070** | -0.110*** | -0.028 | -0.067 | 0.110*** | -0.217 |
| | (0.034) | (0.033) | (0.055) | (0.030) | (0.020) | (0.057) | (0.091) | (0.017) | (0.150) |
| Growth | -2.497 | -5.165 | 0.433 | -1.630 | 1.706 | -6.069 | 10.252 | 3.509* | 16.790 |
| | (4.495) | (3.201) | (8.213) | (2.670) | (1.597) | (5.345) | (9.571) | (1.807) | (13.961) |
| N | 5980 | 2866 | 3114 | 6014 | 2866 | 3148 | 5147 | 2150 | 2997 |
| Adj. R-sq. | 0.369 | 0.513 | 0.307 | 0.708 | 0.879 | 0.656 | 0.210 | 0.412 | 0.188 |
| **Panel B. High School Education** | | | | | | | | | |
| Growth X High School Share, 1990 | 1.110*** | 1.825*** | 0.823 | -0.665** | -1.021*** | -0.259 | -0.380 | 1.053*** | -1.641 |
| | (0.336) | (0.341) | (0.532) | (0.299) | (0.204) | (0.558) | (0.926) | (0.168) | (1.551) |
| Growth | -1.733 | -3.655 | 0.959 | -2.228 | 0.841 | -6.288 | 10.608 | 4.437** | 16.357 |
| | (4.700) | (3.334) | (8.430) | (2.808) | (1.729) | (5.620) | (9.928) | (1.839) | (14.796) |
| N | 5980 | 2866 | 3114 | 6014 | 2866 | 3148 | 5147 | 2150 | 2997 |
| Adj. R-sq. | 0.369 | 0.513 | 0.307 | 0.708 | 0.879 | 0.656 | 0.210 | 0.412 | 0.188 |
| Dep. Var. Mean | 0.419 | 0.417 | 0.421 | 0.426 | 0.442 | 0.410 | 0.187 | 0.171 | 0.199 |

Notes: We use the election dataset (1995-2024) provided by Central Election Commission of Taiwan in the analysis. Observations are at the town-year level. High school education refers to people who have at least high school education attainment. All regressions include town fixed effects, linear and quadratic year trends, mainland growth interacts with town controls in 1990 (average age, average age squared, female share, marriage share, and urban dummy), and the uninteracted term of town controls. Estimates are weighted by the population of eligible voters in each election. Standard errors are clustered at the town level. * p<0.1, ** p<0.05, *** p<0.01.

Table 7: Effects on Reunification Preference

| Dependent Variable: Reunification preference | | |
|---|---|---|
| | (1) | (2) |
| High Econ x Edu [1] | 0.043** | 0.042** |
| | (0.017) | (0.017) |
| High Econ | -0.666** | -0.662** |
| | (0.265) | (0.271) |
| Low Econ x Edu [2] | 0.003 | 0.006 |
| | (0.020) | (0.015) |
| Low Econ | -0.068 | -0.113 |
| | (0.310) | (0.246) |
| Military x Edu | 0.009 | 0.011 |
| | (0.018) | (0.022) |
| Military | -0.163 | -0.200 |
| | (0.276) | (0.329) |
| High Econ x Military x Edu [3] | -0.031 | -0.030 |
| | (0.025) | (0.024) |
| High Econ x Military | 0.486 | 0.478 |
| | (0.388) | (0.359) |
| Low Econ x Military x Edu [4] | -0.000 | -0.009 |
| | (0.027) | (0.018) |
| Low Econ x Military | 0.028 | 0.165 |
| | (0.424) | (0.280) |
| Edu | -0.016 | -0.013 |
| | (0.012) | (0.010) |
| Town FE | N | Y |
| Individual Characteristics | N | Y |
| p-value: [1] - [2] | 0.0487 | 0.0380 |
| p-value: [3] - [4] | 0.2516 | 0.3175 |
| N | 1632 | 1602 |
| Adj. R-sq. | 0.000 | 0.037 |
| Dep. Var. Mean | -0.180 | -0.179 |
| Dep. Var. Std. Dev. | 0.389 | 0.389 |

Notes: We use data from the online experiment in the analysis. Observations are at the individual level. Reunification preference is a continuous variable ranging from -1 to 1, directly translated from the slider in experiment. -1 is Independence (for sure), 0 is Status Quo, 1 is Reunification (for sure). Individual characteristics include age, age squared, sex, and marriage. Standard errors are robust standard errors in column 1 and clustered at the town level in column 2. * $p<0.1$, ** $p<0.05$, *** $p<0.01$.

Table 8: Respondents' Expectations under Reunification and Independence

| | Respondents' Expectations | | |
|---|---|---|---|
| | (1) Mean (SD) | (2) Share decrease | (3) Share increase |
| **Panel A. Political and civil liberties under reunification** | | | |
| Right to publicly criticize the government | -0.57 (0.47) | 0.776 | 0.047 |
| Right to participate in collective public action | -0.54 (0.51) | 0.718 | 0.065 |
| Restrictions on international and independent media | 0.22 (0.64) | 0.256 | 0.509 |
| Restrictions on internal migration | 0.23 (0.56) | 0.184 | 0.502 |
| Restrictions on cross-border financial transfers | 0.25 (0.58) | 0.199 | 0.534 |
| Risk of government expropriation of property | 0.33 (0.58) | 0.144 | 0.588 |
| **Panel B. Mobility and trade under independence** | | | |
| Difficulty of traveling to the mainland | 0.34 (0.55) | 0.159 | 0.585 |
| Difficulty of traveling to other countries | 0.31 (0.5) | 0.126 | 0.549 |
| Cost of trading with / investing in the mainland | 0.45 (0.49) | 0.094 | 0.679 |
| Cost of trading with / investing in other countries | 0.19 (0.49) | 0.152 | 0.408 |
| N | 277 | | |

Notes: Control group only (economic placebo × military placebo). Five-label sliders recoded to $-1$ (decrease substantially) ... $+1$ (increase substantially), 0 = no change; all slider responses required an active click. Standard deviations in parentheses. 'Share decrease' / 'Share increase' are the shares of respondents with responses below / above 0. Questions were asked after the information treatments. Positive values indicate more restrictions or greater risk for the restriction and expropriation outcomes.

Table 9: Ordered Expectations about Elections, Mainland Response, and Allied Support

Direct Elections and External Responses

**Panel A. Years direct elections would continue under reunification**

| | (1) Mean (SD) | (2) Median | (3) Share = 0 | (4) Share = 50 |
|---|---|---|---|---|
| Village/borough chief | 14.2 (12.8) | 11.0 | 0.181 | 0.032 |
| Township representative | 12.9 (12.9) | 10.0 | 0.224 | 0.029 |
| Township mayor | 13.3 (12.4) | 10.0 | 0.199 | 0.029 |
| County/city councillor | 11.9 (12.7) | 8.0 | 0.256 | 0.022 |
| County magistrate / city mayor | 11.7 (12.5) | 9.0 | 0.245 | 0.029 |
| Legislator (Legislative Yuan) | 11.3 (12.9) | 6.0 | 0.289 | 0.018 |
| President | 9.0 (11.8) | 3.0 | 0.354 | 0.018 |
| p-value: President = Village (paired t-test) | <0.001 | | | |

**Panel B. Expected mainland response to independence**

| | Share yes |
|---|---|
| Aircraft incursions, naval shadowing, coast guard patrols | 0.928 |
| Trade embargo or suspension of tourist visits | 0.928 |
| Exclusion zones or closure of shipping lanes | 0.921 |
| Strikes on military or government facilities in Taiwan | 0.866 |
| Full-scale military invasion | 0.679 |

**Panel C. Expected U.S. and allied support in a conflict**

| | Share yes |
|---|---|
| Diplomatic statements or symbolic gestures | 0.856 |
| Economic sanctions against the mainland | 0.747 |
| Expanded weapons, training, advisory missions | 0.827 |
| Intelligence sharing and logistical support | 0.791 |
| Direct military intervention | 0.444 |
| N | 277 |

Notes: Control group only (economic placebo × military placebo). Standard deviations in parentheses. Panel A: respondents chose years on a 0–50 slider for each level of government; rows ordered from most local to most national. Panels B and C: shares of respondents answering 'yes' to each scenario, rows ordered by severity / cost. In Panel A, 0 means elections cease immediately and 50 means 50 years or longer.

Table 10: Effects on Growth Expectations, Expected Income, and Elections under Reunification

**Panel A. Growth expectations and expected individual income**

| | Dependent Variables | | |
|---|---|---|---|
| | (1) Guess Taiwan GDP Growth | (2) Guess Mainland GDP Growth | (3) Expected Future Inc |
| High Econ x Edu [1] | -0.166 | -0.093 | 0.001 |
| | (0.180) | (0.226) | (0.016) |
| High Econ | 2.979 | 1.799 | -0.011 |
| | (2.806) | (3.598) | (0.252) |
| Low Econ x Edu [2] | 0.090 | -0.174 | 0.003 |
| | (0.191) | (0.247) | (0.016) |
| Low Econ | -1.078 | 2.391 | -0.062 |
| | (2.979) | (3.890) | (0.247) |
| p-value: [1] - [2] | 0.189 | 0.7601 | 0.9049 |
| N | 1632 | 1632 | 1632 |
| Adj. R-sq. | -0.003 | -0.002 | 0.001 |
| Dep. Var. Mean | 4.054 | 2.521 | 0.033 |
| Dep. Var. Std. Dev. | 4.016 | 4.897 | 0.310 |

**Panel B. Expected duration of direct elections under reunification**

| | Dependent Variables | | | | | | |
|---|---|---|---|---|---|---|---|
| | (4) Village | (5) Town Rep | (6) Town Mayor | (7) County Councilor | (8) County Magistrate/City Mayor | (9) National Legislator (Yuan) | (10) President |
| High Econ x Edu [1] | 0.764 | 1.138** | 1.150** | 1.232** | 1.264** | 1.403*** | 1.153** |
| | (0.547) | (0.542) | (0.522) | (0.541) | (0.527) | (0.540) | (0.490) |
| High Econ | -10.133 | -16.408* | -16.926** | -17.315** | -17.654** | -21.497** | -17.518** |
| | (8.390) | (8.453) | (8.100) | (8.396) | (8.156) | (8.468) | (7.760) |
| Low Econ x Edu [2] | -0.115 | -0.191 | -0.053 | -0.553 | -0.180 | -0.471 | -0.177 |
| | (0.589) | (0.579) | (0.574) | (0.614) | (0.602) | (0.625) | (0.602) |
| Low Econ | 3.315 | 4.051 | 2.137 | 9.600 | 4.131 | 7.950 | 4.133 |
| | (9.150) | (9.107) | (9.020) | (9.664) | (9.477) | (9.908) | (9.604) |
| p-value: [1] - [2] | 0.138 | 0.016 | 0.0315 | 0.0024 | 0.0125 | 0.0017 | 0.0189 |
| N | 1632 | 1632 | 1632 | 1632 | 1632 | 1632 | 1632 |
| Adj. R-sq. | 0.000 | 0.003 | 0.003 | 0.005 | 0.007 | 0.014 | 0.015 |
| Dep. Var. Mean | 15.196 | 13.547 | 13.869 | 12.833 | 12.610 | 11.305 | 9.765 |
| Dep. Var. Std. Dev. | 13.515 | 13.153 | 12.869 | 13.359 | 12.957 | 13.348 | 12.490 |

Notes: Full-factorial regressions include all military terms and interactions (not displayed). No additional controls. Robust standard errors in parentheses. * p<0.1, ** p<0.05, *** p<0.01.

Table 11: Effects on Expectations for the Status Quo

| | Dependent Variables | | | |
|---|---|---|---|---|
| | (1) Years of status quo | (2) Conflict in economy | (3) Conflict in politics | (4) Conflict in military |
| High Econ x Edu [1] | -0.276 | 0.014 | 0.004 | -0.012 |
| | (0.559) | (0.016) | (0.015) | (0.016) |
| High Econ | 4.342 | -0.224 | -0.073 | 0.187 |
| | (8.743) | (0.253) | (0.242) | (0.253) |
| Low Econ x Edu [2] | -0.162 | -0.013 | -0.012 | -0.012 |
| | (0.536) | (0.015) | (0.017) | (0.015) |
| Low Econ | 1.535 | 0.190 | 0.171 | 0.211 |
| | (8.384) | (0.239) | (0.267) | (0.244) |
| p-value: [1] - [2] | 0.8375 | 0.1037 | 0.3439 | 0.9750 |
| N | 1632 | 1632 | 1632 | 1632 |
| Adj. R-sq. | 0.010 | -0.002 | 0.001 | 0.002 |
| Dep. Var. Mean | 22.533 | 0.194 | 0.372 | 0.283 |

Notes: Full-factorial regressions include all military terms and interactions (not displayed). No additional controls. Robust standard errors in parentheses. * p<0.1, ** p<0.05, *** p<0.01.

Table 12: Effects on Expectations under Reunification

**Panel A. Economic conditions and rights under reunification**

| | Dependent Variables | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | (1) Avg. living expense | (2) Avg. Incomes | (3) Avg. Wealth | (4) Social welfare | (5) Right to criticize govt. publicly | (6) Right of Assembly | (7) Restr. internal relocation | (8) Restr. international exchange | (9) Restr. Media Access | (10) Risk of govt. property appropriation |
| High Econ x Edu [1] | -0.002 | 0.024 | 0.016 | 0.014 | 0.015 | 0.022 | -0.017 | -0.029 | -0.032 | -0.029 |
| | (0.021) | (0.020) | (0.020) | (0.021) | (0.022) | (0.024) | (0.024) | (0.024) | (0.029) | (0.024) |
| High Econ | 0.050 | -0.345 | -0.260 | -0.175 | -0.224 | -0.339 | 0.263 | 0.466 | 0.532 | 0.501 |
| | (0.323) | (0.310) | (0.321) | (0.331) | (0.354) | (0.378) | (0.373) | (0.374) | (0.453) | (0.376) |
| Low Econ x Edu [2] | 0.011 | -0.006 | -0.016 | -0.004 | -0.000 | -0.001 | -0.023 | -0.014 | -0.015 | 0.012 |
| | (0.021) | (0.020) | (0.021) | (0.022) | (0.022) | (0.026) | (0.023) | (0.023) | (0.028) | (0.023) |
| Low Econ | -0.162 | 0.137 | 0.259 | 0.092 | 0.066 | 0.086 | 0.316 | 0.174 | 0.173 | -0.211 |
| | (0.322) | (0.316) | (0.332) | (0.337) | (0.353) | (0.404) | (0.349) | (0.359) | (0.437) | (0.358) |
| p-value: [1] - [2] | 0.5111 | 0.1141 | 0.1205 | 0.4061 | 0.5378 | 0.3856 | 0.7986 | 0.4995 | 0.5596 | 0.0589 |
| N | 1632 | 1632 | 1632 | 1632 | 1632 | 1632 | 1632 | 1632 | 1632 | 1632 |
| Adj. R-sq. | -0.001 | -0.001 | -0.000 | 0.004 | 0.009 | 0.008 | -0.003 | 0.000 | -0.000 | 0.002 |
| Dep. Var. Mean | 0.250 | -0.325 | -0.355 | -0.372 | -0.575 | -0.537 | 0.215 | 0.254 | 0.192 | 0.348 |

**Panel B. Expected military duty under reunification**

| | Dependent Variable |
|---|---|
| | (11) Military duty (months) |
| High Econ x Edu [1] | -0.087 |
| | (0.367) |
| High Econ | 1.917 |
| | (5.678) |
| Low Econ x Edu [2] | -0.985** |
| | (0.431) |
| Low Econ | 16.049** |
| | (6.838) |
| p-value: [1] - [2] | 0.0434 |
| N | 1632 |
| Adj. R-sq. | 0.001 |
| Dep. Var. Mean | 9.525 |

Notes: Full-factorial regressions include all military terms and interactions (not displayed). No additional controls. Robust standard errors in parentheses. * p<0.1, ** p<0.05, *** p<0.01.

Table 13: Effects on Expectations under Independence and External Responses

**Panel A. Conditions in Taiwan under independence**

| | Dependent Variables | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| | (1) Avg. living expense | (2) Avg. Incomes | (3) Avg. Wealth | (4) Social welfare | (5) Visit difficulty: mainland | (6) Visit difficulty: intl. | (7) Business difficulty: mainland | (8) Business difficulty: intl. | (9) Military duty (months) |
| High Econ x Edu [1] | -0.006 | -0.019 | -0.029 | -0.008 | -0.022 | -0.001 | -0.026 | -0.021 | 0.217 |
| | (0.019) | (0.020) | (0.022) | (0.022) | (0.023) | (0.022) | (0.021) | (0.020) | (0.974) |
| High Econ | 0.112 | 0.295 | 0.412 | 0.104 | 0.327 | -0.052 | 0.363 | 0.361 | -4.983 |
| | (0.292) | (0.321) | (0.357) | (0.351) | (0.360) | (0.350) | (0.328) | (0.310) | (15.113) |
| Low Econ x Edu [2] | 0.006 | -0.035* | -0.042** | -0.029* | 0.038 | 0.017 | 0.029 | 0.004 | -0.719 |
| | (0.018) | (0.019) | (0.021) | (0.017) | (0.024) | (0.022) | (0.022) | (0.020) | (0.932) |
| Low Econ | -0.094 | 0.630** | 0.734** | 0.494* | -0.650* | -0.314 | -0.547 | -0.069 | 9.168 |
| | (0.278) | (0.305) | (0.324) | (0.268) | (0.380) | (0.346) | (0.335) | (0.303) | (14.502) |
| p-value: [1] - [2] | 0.4636 | 0.4203 | 0.5398 | 0.2903 | 0.0093 | 0.4113 | 0.0068 | 0.1796 | 0.3365 |
| N | 1632 | 1632 | 1632 | 1632 | 1632 | 1632 | 1632 | 1632 | 1632 |
| Adj. R-sq. | -0.002 | 0.002 | 0.004 | -0.001 | 0.001 | -0.001 | 0.003 | -0.002 | -0.004 |
| Dep. Var. Mean | 0.273 | -0.099 | -0.098 | -0.044 | 0.329 | 0.27 | 0.396 | 0.19 | 27.76 |

**Panel B. Expected mainland responses to independence**

| | Dependent Variables | | | | |
|---|---|---|---|---|---|
| | (10) Harass (Air, Navy) | (11) Sanction: Embargo or Ban Tourism | (12) Blockade | (13) Strikes on military or govt. facilities | (14) Fully Invade |
| High Econ x Edu [1] | 0.016** | 0.009 | 0.014 | -0.002 | 0.008 |
| | (0.008) | (0.012) | (0.011) | (0.015) | (0.020) |
| High Econ | -0.224* | -0.146 | -0.202 | 0.054 | -0.146 |
| | (0.123) | (0.183) | (0.169) | (0.229) | (0.319) |
| Low Econ x Edu [2] | 0.028** | 0.015 | 0.017 | 0.010 | -0.008 |
| | (0.011) | (0.014) | (0.014) | (0.016) | (0.021) |
| Low Econ | -0.436** | -0.261 | -0.266 | -0.151 | 0.142 |
| | (0.180) | (0.218) | (0.218) | (0.250) | (0.323) |
| p-value: [1] - [2] | 0.3100 | 0.6713 | 0.8402 | 0.3445 | 0.4061 |
| N | 1632 | 1632 | 1632 | 1632 | 1632 |
| Adj. R-sq. | 0.005 | -0.000 | 0.001 | -0.002 | 0.001 |
| Dep. Var. Mean | 0.942 | 0.923 | 0.931 | 0.881 | 0.686 |

**Panel C. Expected allied support in a military conflict**

| | Dependent Variables | | | | |
|---|---|---|---|---|---|
| | (15) Diplomacy support | (16) Sanction | (17) Defensive weapon | (18) Weapons and military intelligence | (19) Full engagement |
| High Econ x Edu [1] | 0.000 | 0.013 | -0.024 | 0.000 | -0.026 |
| | (0.015) | (0.019) | (0.018) | (0.018) | (0.021) |
| High Econ | -0.024 | -0.270 | 0.317 | -0.038 | 0.360 |
| | (0.231) | (0.297) | (0.275) | (0.284) | (0.326) |
| Low Econ x Edu [2] | 0.022 | -0.011 | -0.027 | -0.014 | -0.043** |
| | (0.016) | (0.019) | (0.017) | (0.016) | (0.021) |
| Low Econ | -0.325 | 0.185 | 0.378 | 0.206 | 0.760** |
| | (0.259) | (0.294) | (0.271) | (0.253) | (0.328) |
| p-value: [1] - [2] | 0.1878 | 0.2457 | 0.8503 | 0.4665 | 0.4350 |
| N | 1632 | 1632 | 1632 | 1632 | 1632 |
| Adj. R-sq. | 0.006 | 0.001 | -0.001 | -0.002 | 0.015 |
| Dep. Var. Mean | 0.862 | 0.722 | 0.798 | 0.789 | 0.458 |

Notes: Full-factorial regressions include all military terms and interactions (not displayed). No additional controls. Robust standard errors in parentheses. * p<0.1, ** p<0.05, *** p<0.01. Column (9) is conditional on independence and war. Intl. = international.

# APPENDIX

## A: Figures and Tables

Figure A.1: Trends of Self-identity

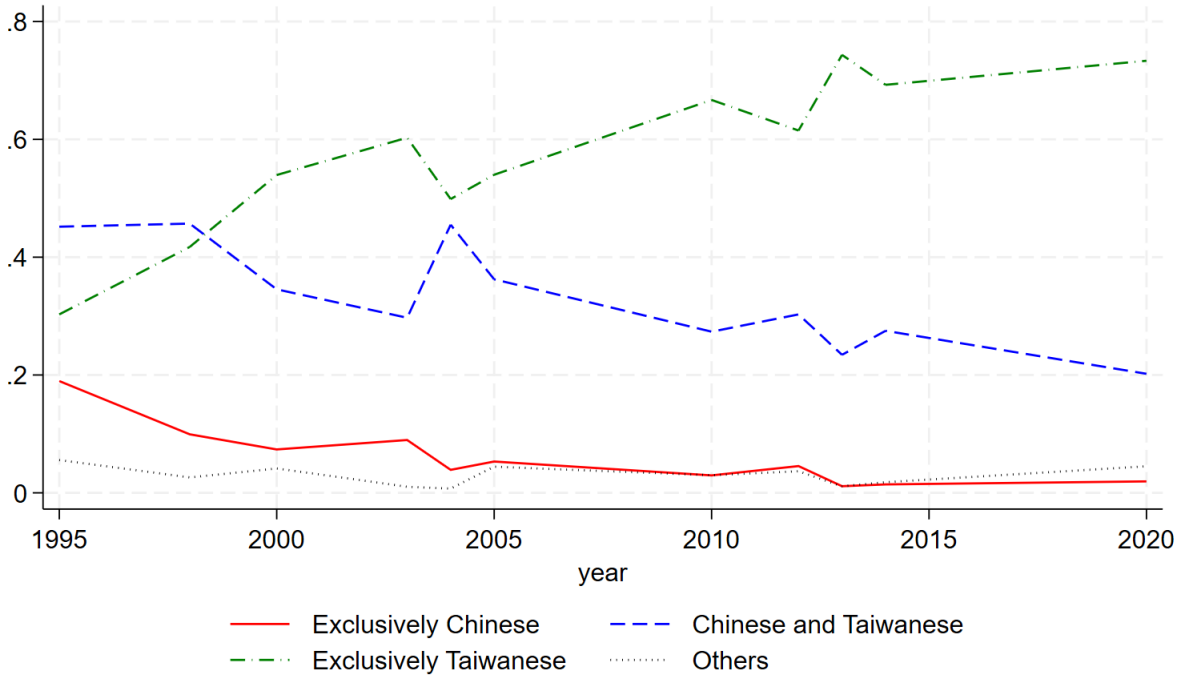


Table A.1: Alternative Specifications

| | Alternative Specifications | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) Baseline | (2) Year FE (replaces trends) | (3) Growth x: sex, marital status | (4) Growth x migrant | (5) Growth x income; income | (6) Growth x urban | (7) Growth x distance to mainland | (8) DPP x Edu | (9) Log GDP x Edu | (10) Log GDP per capita x Edu | (11) County SE bootstrap | (12) Conley SE (25 km) | (13) Growth x age | (14) Growth x: age, sex, marital status |
| **Panel A. Support Reunification** | | | | | | | | | | | | | | |
| Growth X Edu | 0.068*** | 0.079*** | 0.058*** | 0.061*** | 0.068*** | 0.068*** | 0.067*** | 0.071*** | 0.064*** | 0.063*** | 0.071*** | 0.068*** | 0.065** | 0.057** |
| | (0.018) | (0.017) | (0.020) | (0.017) | (0.019) | (0.019) | (0.018) | (0.018) | (0.020) | (0.020) | (0.014) | (0.016) | (0.026) | (0.026) |
| Growth | -0.855*** | Absorbed | -0.520 | -0.882*** | -1.344*** | -0.848* | 0.320 | -0.916*** | -0.905*** | -0.909*** | -0.332* | -0.855*** | -0.788 | -0.508 |
| | (0.291) | | (0.376) | (0.283) | (0.322) | (0.438) | (0.595) | (0.286) | (0.295) | (0.295) | (0.183) | (0.242) | (0.580) | (0.590) |
| Edu | 0.001 | 0.001 | 0.002 | 0.000 | 0.001 | 0.001 | 0.002 | 0.001 | 0.005 | 0.005 | 0.001 | 0.001 | 0.003 | 0.002 |
| | (0.002) | (0.002) | (0.002) | (0.002) | (0.002) | (0.002) | (0.002) | (0.002) | (0.009) | (0.007) | (0.001) | (0.001) | (0.002) | (0.002) |
| N | 22107 | 22107 | 22107 | 22107 | 20418 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 |
| Adj. R-sq. | 0.031 | 0.051 | 0.031 | 0.046 | 0.035 | 0.031 | 0.032 | 0.032 | 0.033 | 0.033 | 0.030 | 0.031 | 0.026 | 0.031 |
| **Panel B. Support Status Quo** | | | | | | | | | | | | | | |
| Growth X Edu | 0.042 | 0.025 | 0.030 | 0.043 | 0.061 | 0.041 | 0.043 | 0.047 | -0.010 | -0.010 | 0.040 | 0.042** | -0.015 | -0.006 |
| | (0.037) | (0.037) | (0.039) | (0.037) | (0.037) | (0.037) | (0.037) | (0.038) | (0.040) | (0.040) | (0.040) | (0.021) | (0.043) | (0.044) |
| Growth | -0.821 | | -0.483 | -0.816 | 0.111 | -0.881 | -1.514 | -0.883 | -0.136 | -0.128 | -1.187* | -0.821 | 0.873 | 0.634 |
| | (0.577) | | (0.688) | (0.579) | (0.644) | (0.707) | (1.014) | (0.600) | (0.617) | (0.616) | (0.618) | (0.576) | (0.940) | (0.947) |
| Edu | -0.002 | -0.001 | -0.001 | -0.002 | -0.005 | -0.002 | -0.002 | -0.003 | 0.057*** | 0.047*** | -0.002 | -0.002 | 0.002 | 0.002 |
| | (0.003) | (0.003) | (0.003) | (0.003) | (0.003) | (0.003) | (0.003) | (0.004) | (0.017) | (0.015) | (0.004) | (0.002) | (0.004) | (0.004) |
| N | 22107 | 22107 | 22107 | 22107 | 20418 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 |
| Adj. R-sq. | 0.026 | 0.054 | 0.026 | 0.026 | 0.031 | 0.026 | 0.026 | 0.026 | 0.028 | 0.028 | 0.025 | 0.026 | 0.021 | 0.026 |

Notes: We use Taiwan Social Change Survey (1995-2022) in the analysis. Observations are at the individual-year level. There are fewer observations in the Panel E, as the 1998 survey did not ask questions about income. All regressions include town fixed effects, linear and quadratic year trends, individual controls (age, age squared, sex, marriage), and urban dummy. The respective lower order terms are all controlled in each specification. Estimates are weighted using survey weights adjusted to ensure consistent population representation across years. Standard errors are all clustered at the town level except in columns (11) and (12). In column (2), year fixed effects absorb the common growth term.

Table A.1: Alternative Specifications (continued)

| | Alternative Specifications | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) Baseline | (2) Year FE (replaces trends) | (3) Growth x: sex, marital status | (4) Growth x migrant | (5) Growth x income; income | (6) Growth x urban | (7) Growth x distance to mainland | (8) DPP x Edu | (9) Log GDP x Edu | (10) Log GDP per capita x Edu | (11) County SE bootstrap | (12) Conley SE (25 km) | (13) Growth x age | (14) Growth x: age, sex, marital status |
| **Panel C. Support Independence** | | | | | | | | | | | | | | |
| Growth X Edu | -0.075** | -0.063** | -0.061* | -0.072** | -0.084** | -0.069** | -0.074** | -0.089*** | -0.016 | -0.016 | -0.070** | -0.075*** | -0.014 | -0.023 |
| | (0.031) | (0.031) | (0.032) | (0.031) | (0.033) | (0.032) | (0.031) | (0.031) | (0.033) | (0.033) | (0.031) | (0.012) | (0.037) | (0.038) |
| Growth | 0.526 | | 0.132 | 0.538 | 0.576 | 0.861* | -0.319 | 0.714* | -0.150 | -0.158 | 1.281*** | 0.526* | -1.314 | -1.042 |
| | (0.425) | | (0.519) | (0.422) | (0.472) | (0.513) | (0.802) | (0.427) | (0.461) | (0.461) | (0.412) | (0.298) | (0.800) | (0.828) |
| Edu | 0.007*** | 0.006** | 0.005** | 0.008*** | 0.008*** | 0.006** | 0.007** | 0.010*** | -0.059*** | -0.049*** | 0.006** | 0.007*** | 0.002 | 0.002 |
| | (0.003) | (0.002) | (0.003) | (0.002) | (0.003) | (0.003) | (0.003) | (0.003) | (0.013) | (0.011) | (0.003) | (0.002) | (0.003) | (0.003) |
| N | 22107 | 22107 | 22107 | 22107 | 20418 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 |
| Adj. R-sq. | 0.035 | 0.051 | 0.035 | 0.045 | 0.037 | 0.035 | 0.035 | 0.036 | 0.037 | 0.037 | 0.034 | 0.035 | 0.032 | 0.035 |
| **Panel D. Other Responses** | | | | | | | | | | | | | | |
| Growth X Edu | -0.035 | -0.041 | -0.027 | -0.032 | -0.045 | -0.039 | -0.035 | -0.030 | -0.037 | -0.037 | -0.040 | -0.035 | -0.036 | -0.029 |
| | (0.027) | (0.027) | (0.027) | (0.027) | (0.028) | (0.027) | (0.027) | (0.027) | (0.032) | (0.032) | (0.029) | (0.027) | (0.029) | (0.028) |
| Growth | 1.150** | | 0.871* | 1.161** | 0.658 | 0.868 | 1.512 | 1.085** | 1.191** | 1.195** | 0.238 | 1.150** | 1.229* | 0.917 |
| | (0.470) | | (0.500) | (0.470) | (0.511) | (0.652) | (0.931) | (0.469) | (0.510) | (0.510) | (0.418) | (0.531) | (0.668) | (0.636) |
| Edu | -0.006*** | -0.006** | -0.007*** | -0.006*** | -0.004* | -0.006** | -0.006*** | -0.007*** | -0.004 | -0.004 | -0.006** | -0.006** | -0.007*** | -0.007*** |
| | (0.002) | (0.002) | (0.002) | (0.002) | (0.002) | (0.002) | (0.002) | (0.002) | (0.016) | (0.013) | (0.003) | (0.003) | (0.003) | (0.002) |
| N | 22107 | 22107 | 22107 | 22107 | 20418 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 | 22107 |
| Adj. R-sq. | 0.081 | 0.091 | 0.081 | 0.081 | 0.091 | 0.081 | 0.081 | 0.081 | 0.081 | 0.081 | 0.077 | 0.081 | 0.074 | 0.081 |

Notes: We use Taiwan Social Change Survey (1995-2022) in the analysis. Observations are at the individual-year level. There are fewer observations in the Panel E, as the 1998 survey did not ask questions about income. All regressions include town fixed effects, linear and quadratic year trends, individual controls (age, age squared, sex, marriage), and urban dummy. The respective lower order terms are all controlled in each specification. Estimates are weighted using survey weights adjusted to ensure consistent population representation across years. Standard errors are all clustered at the town level except in columns (11) and (12). In column (2), year fixed effects absorb the common growth term.

Table A.1: Alternative Specifications (continued)

| | Alternative Specifications | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | (1) Baseline | (2) Year FE (replaces trends) | (3) Growth x: sex, marital status | (4) Growth x migrant | (5) Growth x income; income | (6) Growth x urban | (7) Growth x distance to mainland | (8) DPP x Edu | (9) Log GDP x Edu | (10) Log GDP per capita x Edu | (11) County SE bootstrap | (12) Conley SE (25 km) | (13) Growth x age | (14) Growth x: age, sex, marital status |
| **Panel E. Log (income + 1)** | | | | | | | | | | | | | | |
| Growth X Edu | 3.035*** | 3.023*** | 3.445*** | 3.007*** | Income in both sides | 3.038*** | 3.037*** | 3.323*** | 1.100*** | 1.098*** | 3.031*** | 3.035*** | 3.304*** | 2.738*** |
| | (0.351) | (0.344) | (0.379) | (0.352) | | (0.349) | (0.349) | (0.359) | (0.389) | (0.388) | (0.394) | (0.350) | (0.396) | (0.388) |
| Growth | -53.268*** | 0.000 | -64.148*** | -53.428*** | | -53.049*** | -55.889*** | -57.741*** | -32.822*** | -32.874*** | -53.974*** | -53.268*** | -61.486*** | -42.111*** |
| | (6.017) | (.) | (7.240) | (6.005) | | (8.259) | (10.766) | (6.166) | (6.449) | (6.450) | (7.044) | (7.568) | (9.254) | (9.107) |
| Edu | -0.089*** | -0.084*** | -0.122*** | -0.089*** | | -0.089*** | -0.089*** | -0.150*** | 1.882*** | 1.571*** | -0.089*** | -0.089*** | -0.069** | -0.065** |
| | (0.030) | (0.030) | (0.031) | (0.030) | | (0.030) | (0.030) | (0.036) | (0.201) | (0.169) | (0.029) | (0.021) | (0.033) | (0.032) |
| N | 20418 | 20418 | 20418 | 20418 | | 20418 | 20418 | 20418 | 20418 | 20418 | 20418 | 20418 | 20418 | 20418 |
| Adj. R-sq. | 0.127 | 0.130 | 0.131 | 0.127 | | 0.127 | 0.127 | 0.128 | 0.134 | 0.134 | 0.127 | | 0.100 | 0.131 |

Notes: We use Taiwan Social Change Survey (1995-2022) in the analysis. Observations are at the individual-year level. There are fewer observations in the Panel E, as the 1998 survey did not ask questions about income. All regressions include town fixed effects, linear and quadratic year trends, individual controls (age, age squared, sex, marriage), and urban dummy. The respective lower order terms are all controlled in each specification. Estimates are weighted using survey weights adjusted to ensure consistent population representation across years. Standard errors are all clustered at the town level except in columns (11) and (12). In column (2), year fixed effects absorb the common growth term.

Table A.2: The Effect of Others' Growth

| | Dependent Variables | | | | |
|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) |
| | Reunification | Status Quo | Independence | Others | Income |
| Growth X Edu | 0.078*** | 0.036 | -0.072** | -0.041 | 3.345*** |
| | (0.018) | (0.037) | (0.030) | (0.028) | (0.366) |
| Growth | -1.184*** | -0.852 | 0.353 | 1.683*** | -56.924*** |
| | (0.284) | (0.593) | (0.403) | (0.485) | (6.445) |
| Taiwan Growth x Edu | -0.059 | 0.234*** | -0.206*** | 0.031 | 2.386*** |
| | (0.037) | (0.059) | (0.045) | (0.050) | (0.648) |
| Taiwan Growth | 0.210 | -4.639*** | 3.100*** | 1.330* | -11.214 |
| | (0.508) | (1.124) | (0.826) | (0.738) | (9.712) |
| U.S. Growth X Edu | 0.023 | 0.020 | -0.025 | -0.018 | 3.661*** |
| | (0.070) | (0.127) | (0.083) | (0.103) | (1.056) |
| U.S. Growth | -2.552*** | 1.537 | -2.577** | 3.591** | -40.515** |
| | (0.801) | (1.767) | (1.124) | (1.429) | (15.997) |
| Japan Growth X Edu | 0.126*** | -0.426*** | 0.360*** | -0.061 | -5.258*** |
| | (0.036) | (0.074) | (0.053) | (0.063) | (0.754) |
| Japan Growth | 1.259* | 4.413*** | -2.499*** | -3.173*** | 57.021*** |
| | (0.639) | (1.305) | (0.837) | (0.940) | (13.160) |
| Education | 0.002 | -0.009** | 0.013*** | -0.006** | -0.223*** |
| | (0.002) | (0.004) | (0.003) | (0.003) | (0.038) |
| N | 22107 | 22107 | 22107 | 22107 | 20418 |
| Adj. R-sq. | 0.036 | 0.032 | 0.041 | 0.087 | 0.133 |

Notes: We use Taiwan Social Change Survey (1995-2022) in the analysis. Observations are at the individual-year level. There are fewer observations in column (5), as the 1998 survey did not ask questions about income. All regressions include town fixed effects, linear and quadratic year trends, individual controls (age, age squared, sex, marriage), and urban dummy. Estimates are weighted using survey weights adjusted to ensure consistent population representation across years. Standard errors are clustered at the town level.

Table A.3: The Effects of Mainland Growth and Third-Lag Growth

| | Dependent Variables | | | | |
|---|---|---|---|---|---|
| | (1) | (2) | (3) | (4) | (5) |
| | Reunification | Status Quo | Independence | Others | Income |
| Growth X Edu | 0.087*** | 0.022 | -0.069** | -0.040 | 3.043*** |
| | (0.018) | (0.039) | (0.033) | (0.028) | (0.376) |
| Growth | -1.154*** | -0.424 | 0.308 | 1.270*** | -52.967*** |
| | (0.293) | (0.616) | (0.437) | (0.488) | (6.480) |
| Growth lag 3 X Edu | -0.070*** | 0.071* | -0.021 | 0.020 | -0.024 |
| | (0.016) | (0.037) | (0.027) | (0.025) | (0.351) |
| Growth lag 3 | 0.858*** | -1.116** | 0.592* | -0.335 | -1.680 |
| | (0.198) | (0.496) | (0.314) | (0.354) | (5.360) |
| Edu | 0.007*** | -0.008* | 0.008*** | -0.008** | -0.087** |
| | (0.002) | (0.004) | (0.003) | (0.003) | (0.037) |
| N | 22107 | 22107 | 22107 | 22107 | 20418 |
| Adj. R-sq. | 0.032 | 0.026 | 0.035 | 0.081 | 0.127 |

Table A.4: Correlates of Support Reunification and Votes

| | Dependent Variables: Town-level Shares | | | | | |
|---|---|---|---|---|---|---|
| | **Support Reunification** | | **Support Status Quo** | | **Support Independence** | |
| | (1) | (2) | (3) | (4) | (5) | (6) |
| KMT Vote Share | 0.065** | | 0.006 | | -0.128*** | |
| | (0.028) | | (0.041) | | (0.032) | |
| DPP Vote Share | | -0.118*** | | -0.047 | | 0.324*** |
| | | (0.031) | | (0.049) | | (0.033) |
| N | 955 | 932 | 955 | 932 | 955 | 932 |
| Adj. R-sq. | 0.007 | 0.021 | -0.001 | 0.000 | 0.025 | 0.120 |

Notes: We aggregate the Support Reunification (Status Quo, and Independence) to town and year level, and match them with voting outcomes of current or last election. Estimates are weighted by the number of eligible voters. Robust standard errors are used in the specification.

Table A.5: The Heterogeneous Effects of Growth x Edu by Cohorts

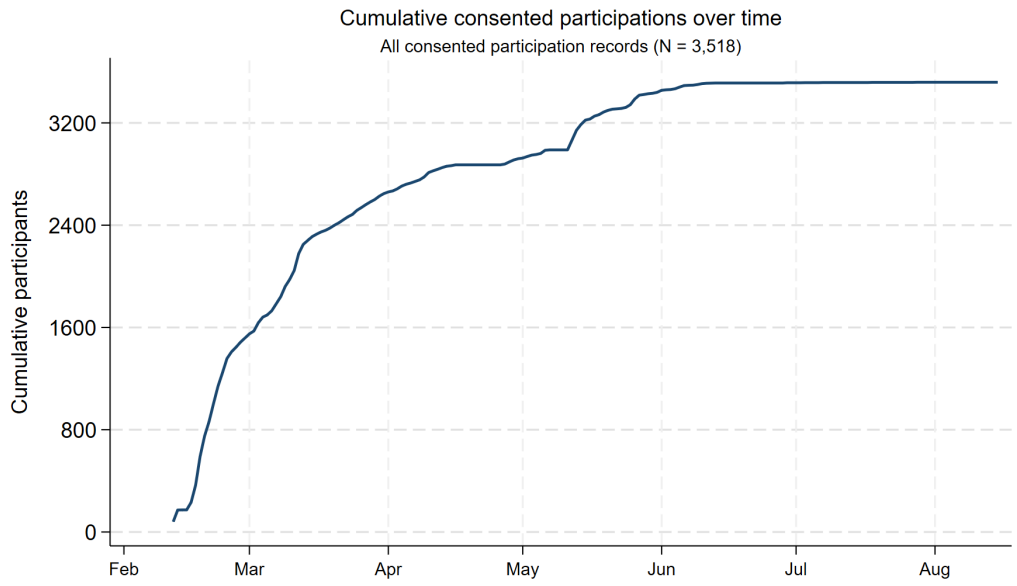
| Dependent Variable: Support Reunification | |
|---|---|
| | (1) |
| Growth x Edu x Cohort | |
| Before 1940 | 0.062 |
| | (0.062) |
| 1940s | 0.056 |
| | (0.059) |
| 1950s | 0.019 |
| | (0.040) |
| 1960s | 0.065 |
| | (0.056) |
| 1970s | 0.047 |
| | (0.061) |
| 1980s | 0.064 |
| | (0.076) |
| After 1990 | 0.078 |
| | (0.166) |
| N | 22107 |
| Adj. R-sq. | 0.035 |

Notes: We use Taiwan Social Change Survey (1995-2022) in the analysis. Observations are at the individual-year level. The regressions include town fixed effects, linear and quadratic year trends, individual controls (age, age squared, sex, marriage), urban dummy, and all lower order interaction terms. Estimates are weighted using survey weights adjusted to ensure consistent population representation across years. Standard errors are clustered at the town level.

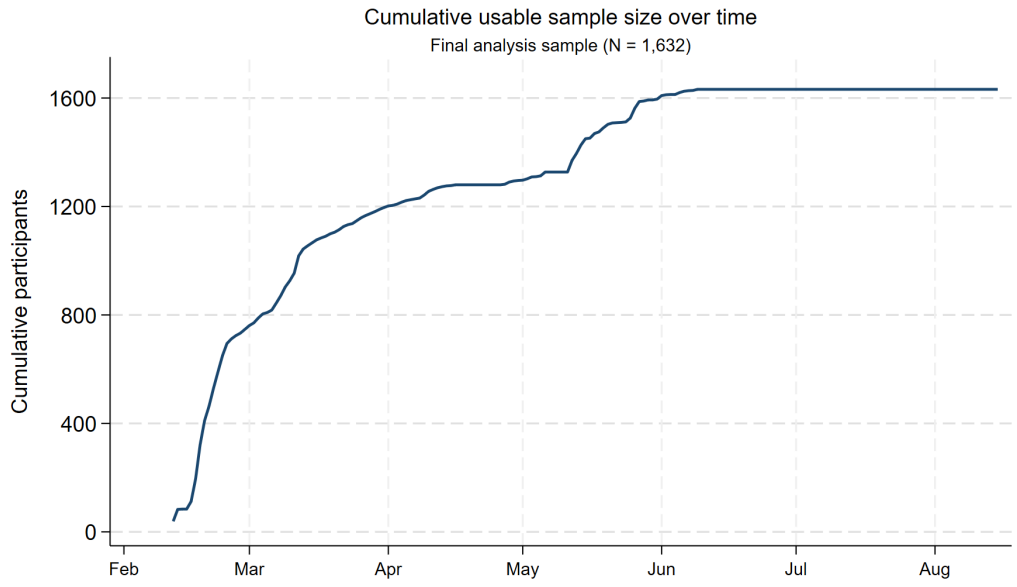
## B: Online Survey Experiment

Figure B.1: Cumulative Recruitment and Usable Experiment Sample

A. Consented participations




B. Usable sample




Notes: The figures reproduce the recruitment series in the workbook: 3,518 consented participations and a final usable sample of 1,632.

Table B.1: Sample

| **Phase** | **Sample Size** |
|---|---|
| Recruitment | N = 1,671,792 views of ads |
| | N = 613,487 Facebook accounts reached |
| | N = 73,639 clicked on ads |
| | N = 3,518 consented to participate |
| Baseline | N = 2,246 proceeded to the experimental portion after answering questions about their demographic characteristics and voting behavior. |
| | N = 2,111 after removing repeated submissions from the same IP address under the same treatment assignment |
| | N = 2,014 after removing repeated submissions associated with the same email address |
| | N = 1,973 are 20 years old or older |
| | N = 1,632 finished experiment and answered all survey questions |

Table B.2: Randomization Balance

| | Treatment Groups | | | | | | |
|---|---|---|---|---|---|---|---|
| | (1) Placebo | (2) High Econ | (3) Low Econ | (4) Military | (5) High Econ x Military | (6) Low Econ x Military | (7) Joint P-value |
| Edu | 15.379 | 15.535 | 15.688 | 15.508 | 15.493 | 15.776 | 0.231 |
| | (2.042) | (1.957) | (1.911) | (2.136) | (2.104) | (1.970) | |
| Log (1+ Individual Income) | 3.368 | 3.355 | 3.316 | 3.440 | 3.483 | 3.440 | 0.766 |
| | (1.487) | (1.462) | (1.570) | (1.419) | (1.354) | (1.458) | |
| Vote KMT Candidates | 0.173 | 0.199 | 0.175 | 0.144 | 0.150 | 0.179 | 0.546 |
| | (0.379) | (0.400) | (0.381) | (0.352) | (0.357) | (0.384) | |
| Vote DPP Candidates | 0.394 | 0.385 | 0.373 | 0.432 | 0.394 | 0.437 | 0.585 |
| | (0.489) | (0.487) | (0.484) | (0.496) | (0.490) | (0.497) | |
| Vote TPP Candidates | 0.199 | 0.112 | 0.179 | 0.144 | 0.186 | 0.164 | 0.068 |
| | (0.400) | (0.316) | (0.384) | (0.352) | (0.390) | (0.371) | |
| 2024 Election Vote | 0.765 | 0.696 | 0.726 | 0.720 | 0.730 | 0.780 | 0.236 |
| | (0.425) | (0.461) | (0.447) | (0.450) | (0.445) | (0.415) | |
| Female | 0.520 | 0.528 | 0.513 | 0.568 | 0.547 | 0.448 | 0.109 |
| | (0.501) | (0.500) | (0.501) | (0.496) | (0.499) | (0.498) | |
| Birthyear | 1986.162 | 1985.776 | 1987.304 | 1986.538 | 1986.872 | 1987.287 | 0.669 |
| | (13.500) | (12.685) | (12.257) | (12.387) | (13.064) | (12.701) | |
| Ever married | 0.383 | 0.374 | 0.323 | 0.356 | 0.343 | 0.351 | 0.741 |
| | (0.487) | (0.485) | (0.469) | (0.480) | (0.476) | (0.478) | |
| Number of children | 0.527 | 0.483 | 0.475 | 0.436 | 0.416 | 0.534 | 0.581 |
| | (0.950) | (0.849) | (0.920) | (0.825) | (0.772) | (1.029) | |
| Migrant | 0.245 | 0.301 | 0.304 | 0.280 | 0.208 | 0.246 | 0.079 |
| | (0.431) | (0.459) | (0.461) | (0.450) | (0.407) | (0.432) | |
| Finished military duty | 0.310 | 0.308 | 0.342 | 0.303 | 0.303 | 0.373 | 0.415 |
| | (0.464) | (0.462) | (0.475) | (0.460) | (0.460) | (0.485) | |
| Overseas experience | 0.065 | 0.115 | 0.095 | 0.102 | 0.113 | 0.112 | 0.355 |
| | (0.247) | (0.320) | (0.294) | (0.304) | (0.317) | (0.316) | |
| Location latitude | 24.121 | 23.966 | 23.628 | 24.182 | 24.127 | 24.088 | 0.185 |
| | (1.343) | (1.339) | (5.996) | (1.413) | (1.681) | (0.973) | |
| Location longitude | 119.190 | 120.793 | 120.817 | 119.412 | 120.672 | 120.970 | 0.307 |
| | (20.161) | (1.779) | (8.275) | (17.926) | (7.238) | (0.500) | |

Notes: Columns (1)-(6) report treatment-group means, with standard deviations in parentheses. Column (7) reports the ANOVA p-value for equality of means across the six treatment groups.

Table B.3: Descriptive Statistics of Experiment Sample and Representative Samples

| | | Experiment | | | Representative Samples | | |
|---|---|---|---|---|---|---|---|
| | | Mean | Std. Dev. | N | Mean | Std. Dev. | N |
| (1) | Edu (Years of Schooling) | 15.561 | 2.023 | 1632 | 12.278 | 4.329 | 1772 |
| (2) | Individual Income (10,000 NTD) | 52.588 | 47.982 | 1632 | 40.216 | 39.944 | 1772 |
| (3) | Female | 0.521 | 0.500 | 1632 | 0.545 | 0.498 | 1772 |
| (4) | Birthyear | 1986.643 | 12.772 | 1632 | 1969.537 | 16.751 | 1772 |
| (5) | Ever married | 0.355 | 0.479 | 1632 | 0.747 | 0.435 | 1772 |
| (6) | Migrant | 0.264 | 0.441 | 1632 | 0.103 | 0.304 | 1772 |
| (7) | 2024 Election Turnout | 0.736 | 0.441 | 1632 | 0.719 | | |
| (8) | Vote KMT Candidates | 0.170 | 0.376 | 1632 | 0.241 | | |
| (9) | Vote DPP Candidates | 0.402 | 0.490 | 1632 | 0.288 | | |
| (10) | Vote TPP Candidates | 0.164 | 0.370 | 1632 | 0.190 | | |

Notes: This table shows the demographic and voting statistics from our Facebook experiment sample, demographic statistics from TSCS (2020), and voting statistics from 2024 Taiwan Presidential Election. The Mean in rows 8-10 is the vote among eligible voters.

Table B.4: Education, Demographic Characteristics, and Voting in the Experiment Sample

| | Education Coefficient and Descriptive Statistics | | | |
|---|---|---|---|---|
| | (1) | (2) | (3) | (4) |
| | Education | Mean | Std. Dev. | N |
| Female | -0.002 | 0.521 | 0.500 | 1632 |
| | (0.006) | | | |
| Age | -0.298 | 39.357 | 12.772 | 1632 |
| | (0.171) | | | |
| Ever Married | 0.004 | 0.355 | 0.479 | 1632 |
| | (0.006) | | | |
| Number of Children | -0.002 | 0.479 | 0.894 | 1632 |
| | (0.012) | | | |
| Migrant | -0.013 | 0.264 | 0.441 | 1632 |
| | (0.006) | | | |
| Log(1 + Individual Income) | 0.167 | 3.400 | 1.458 | 1632 |
| | (0.018) | | | |
| Ever Studied or Worked Overseas (Mainland China included) | 0.021 | 0.100 | 0.301 | 1632 |
| | (0.004) | | | |
| 2024 Election Turnout | 0.017 | 0.736 | 0.441 | 1632 |
| | (0.006) | | | |
| Vote KMT Candidates | -0.003 | 0.170 | 0.376 | 1632 |
| | (0.004) | | | |
| Vote DPP Candidates | 0.013 | 0.402 | 0.490 | 1632 |
| | (0.006) | | | |
| Vote TPP Candidates | 0.007 | 0.164 | 0.370 | 1632 |
| | (0.004) | | | |

Notes: This table shows the demographic and voting statistics and their correlation with education from our Facebook experiment sample. Column 1 shows the estimator by regressing the individual characteristics on education. Robust standard error is shown in parentheses.

Table B.5: Effects on Mainland Perceptions, International Influence, and Military Contributions

**Panel A. Perceptions of the mainland**

| | Dependent Variables | | | | | | |
|---|---|---|---|---|---|---|---|
| | (1) Living Standard | (2) Geopolitical Influence | (3) Tech. and Innovation | (4) Infra-structure | (5) Social Order | (6) Citizens' cultural quality | (7) International respect |
| High Econ x Edu [1] | 0.009 | 0.002 | -0.002 | 0.000 | 0.013 | 0.009 | 0.009 |
| | (0.010) | (0.010) | (0.010) | (0.009) | (0.010) | (0.010) | (0.010) |
| High Econ | -0.118 | 0.009 | 0.064 | 0.035 | -0.202 | -0.138 | -0.121 |
| | (0.153) | (0.161) | (0.155) | (0.142) | (0.152) | (0.153) | (0.154) |
| Low Econ x Edu [2] | -0.012 | 0.005 | 0.000 | -0.001 | -0.006 | -0.004 | 0.007 |
| | (0.010) | (0.011) | (0.011) | (0.009) | (0.011) | (0.010) | (0.010) |
| Low Econ | 0.184 | -0.074 | 0.002 | 0.032 | 0.107 | 0.071 | -0.084 |
| | (0.159) | (0.168) | (0.172) | (0.141) | (0.175) | (0.154) | (0.158) |
| p-value: [1] - [2] | 0.0368 | 0.7380 | 0.8879 | 0.8977 | 0.0806 | 0.1676 | 0.8222 |
| N | 1632 | 1632 | 1632 | 1632 | 1632 | 1632 | 1632 |
| Adj. R-sq. | 0.002 | 0.006 | 0.001 | 0.000 | -0.001 | 0.001 | -0.001 |

**Panel B. Country or region that influences Taiwan the most**

| | Dependent Variables | | | | |
|---|---|---|---|---|---|
| | (8) Mainland | (9) U.S. | (10) Japan | (11) EU | (12) ASEAN-5 |
| High Econ x Edu [1] | -0.019 | 0.017 | 0.006 | -0.003 | -0.001 |
| | (0.018) | (0.020) | (0.009) | (0.012) | (0.005) |
| High Econ | 0.329 | -0.305 | -0.069 | 0.026 | 0.018 |
| | (0.276) | (0.313) | (0.139) | (0.199) | (0.075) |
| Low Econ x Edu [2] | 0.020 | -0.020 | 0.001 | 0.007 | -0.008 |
| | (0.013) | (0.021) | (0.008) | (0.015) | (0.011) |
| Low Econ | -0.323 | 0.312 | -0.024 | -0.112 | 0.147 |
| | (0.202) | (0.323) | (0.133) | (0.232) | (0.169) |
| p-value: [1] - [2] | 0.0109 | 0.0717 | 0.5411 | 0.4656 | 0.5346 |
| N | 1632 | 1632 | 1632 | 1632 | 1632 |
| Adj. R-sq. | 0.001 | 0.004 | 0.001 | 0.002 | -0.000 |

**Panel C. Individual military contributions**

| | Dependent Variables | | |
|---|---|---|---|
| | (13) Willing military surcharge contribution | (14) Expected Duration of Military Duty (Months) | (15) Expected enlistment age limit (years) |
| High Econ x Edu [1] | -0.592 | 0.111 | -0.059 |
| | (0.735) | (0.321) | (0.211) |
| High Econ | 8.517 | -1.122 | 0.751 |
| | (11.454) | (5.046) | (3.336) |
| Low Econ x Edu [2] | -0.994 | 0.016 | -0.042 |
| | (0.769) | (0.315) | (0.240) |
| Low Econ | 14.457 | -0.620 | 0.354 |
| | (12.168) | (4.928) | (3.844) |
| p-value: [1] - [2] | 0.6190 | 0.7888 | 0.9470 |
| N | 1632 | 1632 | 1632 |
| Adj. R-sq. | -0.004 | -0.000 | -0.004 |

Notes: Full-factorial regressions include all military terms and interactions (not displayed). No additional controls. Robust standard errors in parentheses. * p<0.1, ** p<0.05, *** p<0.01. Dependent-variable means are not reported in the source workbook.

Table B.6: Mainland Growth and Family Income

| Dependent Variable: Logged Real Family Income | | | | |
|---|---|---|---|---|
| | (1) | (2) | (3) | (4) |
| | Average | Q1 | Q2 (Median) | Q3 |
| Growth X Average Edu, 1990 | 0.064*** | 0.043*** | 0.029* | 0.028* |
| | (0.013) | (0.015) | (0.015) | (0.014) |
| Growth | -0.554*** | -0.921*** | -0.559*** | -0.309*** |
| | (0.102) | (0.124) | (0.120) | (0.114) |
| N | 166280 | 166280 | 166280 | 166280 |
| Adj. R-sq. | 0.887 | 0.737 | 0.814 | 0.886 |
| Dep. Var. Mean | 6.5 | 5.58 | 6.15 | 6.71 |

Notes: The dependent variable is logged real family income. Columns 1-4 report average income and income at the first quartile, median, and third quartile, respectively. The village-year panel covers more than 6,000 villages from 1999 to 2023. Standard errors are in parentheses. * p<0.10, ** p<0.05, *** p<0.01. Source: Statistical Yearbook of Assessed Income Tax, Fiscal Information Agency, Ministry of Finance, Taiwan.